



Project Vortex

DRAFT

Financial due diligence

—

June 24, 2025



Private and confidential

Themis Solutions Inc. d/b/a Clio
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Attn: Alex MacGillivray, VP Finance

June 24, 2025

Project Vortex — Buy-side Financial due diligence

In accordance with the terms of reference set out in our engagement letter dated May 7, 2025 ("Engagement Letter"), we enclose a copy of our draft financial due diligence report ("report") in connection with your prospective investment (the "Transaction") in Felix Spain Bidco, S.L. ("Target"), based on the scope of work agreed with you and attached herein as Appendix 7. Our work commenced on May 7, 2025 and our fieldwork for this draft report is substantially complete. We have not undertaken to update our report for information received, or for events or circumstances arising after the date of this draft.

We draw your attention to the following matters:

- Our work on historical trading comprises the financial years ended December 31, 2023 and 2024, and year-to-date period until March 31, 2025. We have also presented a run rate analysis with a reference date of March 31, 2025.
- We have only covered the specific financial issues agreed in the scope of work. We have not covered tax, commercial, operational, environmental or legal matters.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed:

Important notice



Basis of preparation



Scope of work



You should note that our findings do not constitute recommendations to you as to whether or not you should proceed with the proposed transaction.

Our report is confidential and is released to you on the basis that it is not to be copied, referred to or disclosed, in whole or in part, to any other party without our prior written consent, except as specifically provided in our Engagement Letter. In accordance with the Engagement Letter, you may disclose our report to your legal and other professional advisors in order to seek advice in relation to our work for you, provided that when doing so you inform them that, to the fullest extent permitted by law, we accept no responsibility or liability to them in connection with our report and our work for you.

We would be pleased to receive your observations on our draft report. Please feel free to contact us to discuss.

Yours sincerely,

DRAFT REPORT



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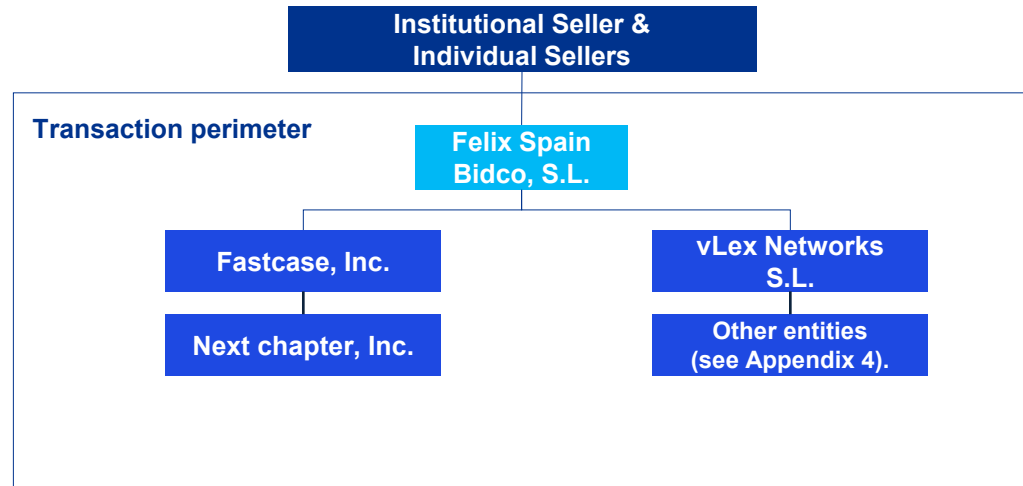
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Company & transaction overview

Legal chart



Note: Fastcase Inc is a sole shareholder of two Chinese entities: Handan Fastcase Software Development CO, LTD* and Qinhuangdao Fastcase Software Development CO, LTD. However an agreement was reached for the sale of 100% of those companies. The transfer is in process of being registered with the Chinese authorities. When the transfer is completed, these entities will no longer form part of the Group. Potential severance and tax liabilities associated with the disposal of the entities are considered in our net cash / debt.

Source: 1.2.1_20250424 Group Corporate Chart.pptx

Transaction overview

Themis Solutions Inc. (“Clio”) is proposing to acquire 100% of the outstanding shares of Felix Spain Bidco, S.L. (“Vortex”, “Target” or the “Company”) through a combination of cash and shares (the “Proposal”).

The proposed acquisition and associated valuation include a number of terms relevant to the analysis in this report – these are summarized below:

- The equity value, paid in cash and stock, is based on an enterprise value of \$1.0 billion with an adjustment for net cash (debt), and a normalised level of working capital.
- The consideration to be paid will be based on a locked box mechanism with a reference date of December 31, 2024 (the “Locked Box”). Further considerations on the Locked Box include:
 - An adjustment between ‘normal’ NWC and NWC at the Locked Box date; and
 - An adjustment for net cash (debt) as at the Locked Box date.
- Recommendations relating to the Locked Box NWC and cash / debt position, and the target NWC are set out in this report.
- Leakage between the Locked Box date and Close will be formally defined/agreed upon by both parties and documented in the SPA.
- We understand that some other significant debt-like items are to be considered outside of the Locked Box (through the funds flow) and will be settled out of seller proceeds. Notably, these amounts include paying out phantom shares, and settling earn outs triggered by the proposed transaction.

Summary financials – P&L and BS

The financial information presented below reflects the consolidated financial results of the Company for the years ended December 31, 2023 (“FY23”), 2024 (“FY24”), and the twelve months ended March 31, 2025 (“TTM Mar-25”) (collectively, the “Historical Period”). These financials were extracted from the sell side diligence databook prepared by A&M and are presented in USD, converted from Euro (which is the Company’s reporting currency). Historical and run rate adjustments identified in the course of our work, set out in section 2 of this report, have been overlaid on the A&M analysis; EBITDA as presented by A&M is presented as a memo in the P&L below.

The financial statements are prepared in accordance with Spanish GAAP for all periods and are subject to annual audit by KPMG. Refer to Appendix 1 for a reconciliation between the trial balances and the audited financial statements for FY23 and FY24, and section 5 of the report for commentary on potential US GAAP considerations.

Adjusted P&L				
\$'000	FY23	FY24	TTM Mar-25	Run rate
Subscription Revenue	39,614	44,594	46,385	51,262
Non subscription Revenue	652	747	570	570
Other Income	35	41	42	42
Revenue	40,301	45,382	46,996	51,874
Cost of sales	(6,516)	(7,768)	(8,268)	(9,362)
Gross profit	33,785	37,614	38,728	42,512
Operating expenses				
Sales & Marketing	(12,189)	(13,635)	(14,322)	(15,817)
Research & Development	(11,032)	(13,289)	(13,646)	(14,351)
General & Administrative	(10,577)	(11,996)	(12,168)	(10,884)
Deferred Commissions	969	1,188	1,508	1,734
Income Capitalized in Fixed Assets	8,192	10,430	10,872	11,255
Operating expenses	(24,637)	(27,302)	(27,756)	(28,064)
EBITDA, adjusted	9,148	10,311	10,972	14,448
Memo - capitalized costs				
Capitalized cost excluded from EBITDA	9,161	11,618	12,380	12,989
Memo - sell side EBITDA				
Sell side adjusted EBITDA	9,591	11,006	11,754	16,112
Sell side actionable synergies	704	1,528	1,539	1,539
Synergized adjusted EBITDA	10,295	12,534	13,293	17,651
KPIs				
ARR per Mgmt. (period end)	41,790	48,249	51,262	51,262
Gross margin %	83.8%	82.9%	82.4%	82.0%
EBITDA %	22.7%	22.7%	23.3%	27.9%

Note: The adjusted P&L above is stated after considering buy side QoE and run rate adjustments (see page 9 / section 2).
Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis.

Reported balance sheet			
\$'000	31-Dec-23	31-Dec-24	31-Mar-25
Intangible assets	124,380	118,452	118,680
Financial assets	501	299	358
Tangible assets	123	96	95
Fixed assets	125,004	118,847	119,133
Trade receivables	4,938	7,300	7,340
Deferred expenses	5,714	6,943	7,549
Trade payables	(2,030)	(1,532)	(2,054)
Deferred income	(24,982)	(24,725)	(26,810)
Trade WC	(16,361)	(12,014)	(13,975)
Non-trade WC	(4,199)	(5,679)	(4,496)
Working capital	(20,560)	(17,693)	(18,471)
Cash	18,541	10,258	10,710
Short Term Investments	2,648	100	97
Other Short Term Debt	(766)	(269)	(675)
Credit Lines	(1,168)	(981)	(911)
Long Term Loans	(38,668)	(41,652)	(41,816)
Net financial debt	(19,413)	(32,543)	(32,594)
Provisions	(5,602)	(42)	(34)
DTA	335	238	238
DTL	(4,707)	(4,171)	(4,038)
Net assets	75,058	64,636	64,234

Note: The balance sheet is presented on a constant currency basis with reference to January 1, 2025. Further, this is presented on a reported basis, refer to Appendix 3 for an adjusted balance sheet inclusive of adjustments to NWC and net debt at the Locked Box date (31-Dec-24).

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsb.



Headlines (1/5)

Topic Analysis

Locked box and equity value

[Read more](#)

We understand you have agreed upon a total Locked Box adjustment to reduce the purchase price by \$(40.0) million – representing \$(4.4) million from an under-delivery of net working capital and \$(35.6) million of adjusted net debt.

The agreed position is \$(6.6) million lower than Management's initial position, primarily driven by negotiated changes in the calculation of target net working capital (\$(5.7) million), discussed in more detail on the following page. The remaining \$(0.9) million of the differences to Management's initial Locked Box relate to debt adjustments including \$(0.8) million of reclassifications to align the components of net debt with the preparation of net working capital and \$(0.1) million of other (debt) / cash-like items identified during diligence.

- ① A number of items are still in the process of being quantified for potential inclusion in the Locked Box, including:
 - Confirmation of a R&D tax credit to reduce the CIT liability;
 - A true-up of cash and debt to reflect debt redemption statements, and payments between Locked Box and Close.
 - True ups for the FX rate impact on payments or cash receipts as part of the Locked Box made in a currency other than USD.
 - Seller-incurred Transaction Expenses.

These items may be updated in later iterations of the Locked Box, or may be considered as Leakage items.
- ② We identified a number of potential debt items during diligence that were not included in the agreed Locked Box position, but may be a cash outflow for you in the future – refer to pages 39-40.
- ③ Some other significant debt-like items are considered outside of the Locked Box but will be settled by the seller out of proceeds (payout of phantom shares, earnouts). You should consult your legal council to ensure these are accurately included in the funds flow.

Further, as the agreed Locked Box mechanism does not include a profit ticker adjustment for cash profit (loss) from Locked Box date to completion (expected to be a cash outflow). You as the buyer will incur any cash losses from the Locked Box date to closing.

Locked Box - December 31, 2024			
\$'000	Sell side original position	Agreed position	Variance
Enterprise Value - Base price	1,000,000	1,000,000	-
Reported net debt	(32,543)	(32,544)	(1)
Debt adjustments			
Balance sheet reclassifications	(2,170)	(2,954)	(784)
Other (debt)/cash-like items	-	(125)	(125)
Debt adjustments	(2,170)	(3,079)	(909)
Adjusted net debt	(34,713)	(35,623)	(910)
Actual to target NWC adjustment			
Actual NWC at Dec-24	(21,330)	(21,330)	-
Target NWC	(22,661)	(16,950)	5,711
Actual to target NWC adjustment	1,331	(4,380)	(5,711)
Total adjustments	(33,382)	(40,003)	(6,621)
Equity value	966,618	959,997	(6,621)
① Memo - items to be refined in confirmatory diligence			
Confirmation of R&D credit to reduce CIT liability	(1,711)	(1,411)	300
True up of debt based on redemption statements	n.q.	n.q.	n.q.
True up for FX impact on cash outflows not in \$	n.q.	n.q.	n.q.
② Memo - items identified but not in agreed position			
CSO and CGO potential severance (QoE synergies)	-	(342)	(342)
Fastcase China severance	-	(90)	(90)
③ Memo - other items settled out of proceeds			
Phantom shares		n.q.	
2nd Oakley earnout		(15,609)	
Fastcase earnout		(10,000)	

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis.

Headlines (2/5)

Topic Analysis

Net working capital

[Read more](#)

The \$(40.0) Locked Box adjustment includes a NWC target of \$(17.0) million based on average NWC for the last 6 months to Mar-25. This target is \$(5.7) million lower than Management's original proposal, resulting in a \$(4.4) under delivery of working capital compared to the \$1.3 million over delivery originally suggested by Management.

The difference between Management's original position and the agreed position is driven by two factors; the time period used, and the treatment of deferred revenue on long term contracts paid upfront.

- **Timing:** Management's original position is based on normalised NWC for a period of 3 months of actual results and 3 months of forecast to Jun-25, while the agreed position is based on 6 months of actuals to Mar-25.
- **LT contracts:** Management's original position included all deferred revenue, including on long-term contracts (prepaid terms of three or more years) in the target. The agreed position normalises this deferred revenue as if all long term contracts had a prepaid term of three years. See page 35 for further discussion on deferred revenue and billing.

- 1 The sensitivity matrix presented on this page shows the agreed NWC target position (\$17.0 million) against various NWC target scenarios based on differing time periods and 'normal' levels of long term deferred revenue, and falls approximately mid-way in the range of potential outcomes based on flexing the time period from a Mar-25 TTM to a 3+3 actual and forecast to Jun-25, and flexing the terms of what is a 'normal' prepayment term for long term contracts (from 1 year to 5 years). The agreed target is closest to an assumed three-year prepayment for long term contracts. Note that ARR of \$51.3 million at Mar-25 includes \$3.6 million of long term contracts normalized in this adjustment, including most significantly \$2.8 million relating to a contract with CS DISCO, which was prepaid for five years. We understand this contract may not renew at the end of the term, and normal NWC may vary depending on the prepayment term of the contracts that could potentially replace CS DISCO and other long term contracts in the future.

Net working capital target - sensitivity matrix				
\$'000	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25
Normal deferred revenue for long term contracts				
5.5 months	(11,777)	(12,256)	(13,258)	(13,760)
11.5 months	(13,572)	(14,051)	(15,053)	(15,555)
17.5 months	(15,366)	(15,837)	(16,848)	(17,350)
23.5 months	(17,162)	(17,641)	(18,643)	(19,145)
29.5 months	(18,957)	(19,436)	(20,438)	(20,940)
Agreed NWC target	(16,950)			

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsh; KPMG analysis

Note: The deferred revenue term represents the number of months of a 'normal' long term contract, minus one and divided by two to calculate the 'normal' deferred revenue balance over the life of the contract. The scenarios range from 5.5 months (1 year / 12 months) to 29.5 months (5 years / 60 months).

Headlines (3/5)

Topic	Analysis
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ARR / quality of revenue

[Read more](#)

The table on this page presents adjusted ARR per Management - \$51.3 million as at Mar-25 – and potential sensitivities identified during diligence. Refer to page 12 for further detail on the components of Management's adjusted ARR.

Management were unable to provide a full reconciliation between historical revenues and ARR. However, a combination of our own analysis, consideration of supporting details, and discussion with Management, including a full reconciliation of the latest one month period (Mar-25) indicates that variances between reported subscription revenue and MRR are primarily explained by timing (i.e., contracts with mid month start and end dates) and catch ups from delayed renewals. We have reconciled revenues to within ~0.2% of ARR for TTM Mar-25 (see page 14).

A more readily available and traceable reconciliation between a ARR and revenue is a potential area of improvement under your ownership.

- Both ARR and reported revenue are overstated, as they exclude the impact of refunds and cancellations. Instead of netting these amounts against revenue, Vortex uses bad debt expense to account for lost revenue due to refunds or cancellations.

The sensitivity totals \$(0.8) million at Mar-25, assuming the full amount of bad debt expense (1.6% of revenue in TTM Mar-25) relates to refunds and cancellations.

- ARR for the periods presented includes \$2.9 million related to contracts that Management explained may not be renewed. \$2.8 million of this relates to a 5 year contract with CS DISCO which began in Aug-23, and \$0.1 million relates to legacy contracts from Vortex's acquisition of Justis in 2019. Based on a simple continuation of historical ARR CAGR (17.8%), it would take approximately four months to replace the revenue related to these contracts. As discussed on the previous page, these contracts were paid upfront (i.e., Vortex will not receive any cash for the remainder of the contracts).

A reconciliation of revenue to cash was completed for YTD Mar-25 – refer to page 15 for details. Note that ARR per Management includes a portion of reoccurring usage-based revenue using reported TTM revenue. This approach is conservative as there is a lag between TTM reoccurring revenue compared to ARR for the latest month. We present a potential upside to estimate the impact of aligning estimated reoccurring revenue with in-month ARR (\$0.1 million at Mar-25).

ARR				
\$'000	Dec-23	Dec-24	Mar-25	CAGR %
Ending ARR per cube	36,880	42,178	44,209	15.6%
Small Firms & Online ARR	3,858	4,789	5,687	36.4%
Adjustments (reoccurring & late renewals)	1,699	1,928	2,013	14.5%
ARR	42,436	48,895	51,908	17.5%
Forced churn (Casetext)	(646)	(646)	(646)	
Adjusted ARR per Mgmt.	41,790	48,249	51,262	17.8%
1 Memo: potential sensitivity				
Refunds and cancellations (at 1.6%)	(681)	(786)	(831)	
Reoccurring revenue - TTM % of ARR	n.q.	88	112	
Sensitized ARR	41,110	47,551	50,543	18.0%
2 Memo: potential future churn in ARR				
CS Disco	2,800	2,800	2,800	
Justis legacy contracts	84	84	84	

Note: The potential upside presented above applies TTM reoccurring revenue as a % of average TTM ARR to adjusted ARR per Mgmt. at each period end (2.7% in TTM Mar-25 and 2.8% in FY24) – note, due to data limitations in FY23 we have used the FY24 % for the Dec-23 upside as well.

Source: 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis.

Headlines (4/5)

Topic Analysis

Quality of earnings & run rate

[Read more](#)

The analysis on this page compares our TTM Mar-25 adjusted EBITDA to adjusted EBITDA in the sell side diligence report prepared by A&M. Refer to pages 17-27 for further discussion on adjustments for the Historical Period (FY23 to TTM Mar-25).

- 1 Seller has proposed TTM Mar-25 diligence adjusted EBITDA of \$11.4 million (\$16.1 million including run rate and pro forma adjustments) in TTM Mar-25. The diligence adjusted EBITDA appears sensible – we identified \$(0.4) million of adjustments, mainly relating to year-end adjustments, resulting in an adjusted EBITDA of \$11.0 million.
- 2 The seller's pro forma adjustments appear reasonable and reflect the full year impact of actioned cost savings. Seller run rate adjusted EBITDA incorporates Mar-25 ARR and applies a margin for direct costs – we have refined this figure to \$14.4 million, which includes the \$(1.2) million impact of latest trends in direct costs and operating expenses (based on the last three months to Mar-25, which Management later agreed was a sensible approach).
- 3 Management also present \$1.5 million of 'actionable synergies' related to various potential software savings and executive restructuring within the existing business. These synergies have not yet been exercised and will need to be implemented post transaction to realize the cost savings. Operational diligence and your input is required to determine the validity of the sell side actionable synergies and any incremental synergies associated with the transaction. Note, actioning the executive synergies would also result in one-time payments for severance. These are not included in the agreed Locked Box debt, as they have not been actioned.
- 4 Reported EBITDA excludes a significant amount of cash costs related to deferred commissions and capitalized development. Refer to the following page for further discussion on cash flows after considering these expenses. Although we understand your contemplated valuation is not based on EBITDA, you should ensure you model both on a like for like basis (cash-basis). Note that Management excluded deferred commissions from both the target and Locked box balance sheet for the calculation of NWC, consistent with the presentation of adjusted EBITDA.

Quality of earnings			
	Sell side	Diff.	Buy side
\$'000	TTM Mar-25	TTM Mar-25	TTM Mar-25
EBITDA, reported	14,069	-	14,069
Management adjustments	(2,773)	-	(2,773)
Sell side diligence adjustments	119	(442)	(324)
1 EBITDA, diligence adjusted	11,414	(442)	10,972
Sell side pro forma adjustments	339	-	339
Sell side run rate adjustments	4,358	(1,221)	3,137
2 EBITDA, run rate adjusted	16,112	(1,663)	14,448
Memo - actionable synergies			
3 Sell side actionable synergies	1,539		
EBITDA, synergised adjusted	17,651		
4 Memo - capitalized costs (excl. from run rate EBITDA)			
Deferred Commissions	1,508	226	1,734
Income Capitalized in Fixed Assets	10,872	384	11,255
Memo - constant currency			
Based on rates at June 1, 2025			292
Based on rates at January 1, 2025			(27)

Note: Constant currency presented relates to impact on Management adjusted EBITDA. Vortex FX exposure is mainly limited to Euros which are a net positive contributor to EBITDA (see page 27).

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Headlines (5/5)

Topic	Analysis
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Cash flow

The table on this page presents free cash flow generated by the business for FY24 and TTM Mar-25, derived from buy side diligence adjusted EBITDA and taking into account changes in reported net working capital and capital expenditures.

- 1 We have separated the cash impact of deferred revenue unwind on notable long term contracts paid upfront to highlight the fact that Vortex generated cash from net working capital (as expected in a growing SaaS-based business). Refer to page 32 for further discussion on the impact of deferred revenue on working capital and page 42 for discussion on accounting.
- 2 There some minor minimal FX driven differences between capex per the P&L and capex per the balance sheet (which is based on a constant currency with reference to January 1, 2025).
- 3 Positive cash flows from operations (EBITDA + change in NWC) are consumed by capital expenditures historically, resulting in a free cash outflow of \$(3.1) million in FY24 and \$(1.5) million in TTM Mar-25.

The Vortex financial model does not include a projected balance sheet or free cash flow to determine when Management believe the Company will become cash generative – however, capex is projected to increase to \$12.4 million, \$13.4 million and \$14.1 million in FY25 to FY27, respectively. Assuming a neutral impact from NWC, which is dependent on the ongoing unwind and replacement of long term deferred revenue contracts, the Company would have to increase EBITDA by a CAGR of greater than 11.1% from FY24-FY27 to be cash generative (before the cash impact of financing activities).

Free cash flow		
\$'000	FY24	TTM Mar-25
Buy side, diligence adjusted EBITDA	10,311	10,972
1 Change in LT deferred revenue	(3,554)	(3,563)
Other changes reported working capital	687	1,828
Change in working capital	(2,867)	(1,735)
Cash flow from operations	7,444	9,237
Capex		
Capitalized P&L costs	(10,476)	(10,872)
2 FX	158	137
Other intangible asset capex	(190)	35
Capex	(10,507)	(10,699)
3 Free cash flow	(3,062)	(1,463)

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis

02

Quality of revenue / ARR

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ARR summary

Management's adjusted ARR (\$51.3 million at Mar-25) comprises subscription revenue tracked by customer (\$44.2 million), revenue from small firms and online sales (\$5.7 million), reoccurring transactional revenue (\$1.3 million), and adjustments for late renewals (\$0.7 million). This is partially offset for known churn (\$0.6 million).

Billing for subscriptions ranges from monthly to up to 5 years upfront – related ARR is based on the average annual revenue contribution which differs from Clio's methodology (ARR based on 360 days of revenue).

Adjusted ARR per Management			
\$'000	FY23	FY24	TTM Mar-25
Opening ARR	18,808	36,879	37,740
(+) New Logo	7,375	6,317	6,977
(+) Acquired ARR	11,910	-	-
(+) Net Reactivation	(70)	334	414
(+) Upsell	3,076	4,009	5,281
(-) Downsell	(1,410)	(1,397)	(1,458)
(-) Churn	(2,811)	(3,963)	(4,745)
Ending ARR per cube, excl. online	36,879	42,178	44,209
Small Firms & Online ARR	3,858	4,789	5,687
Adjustments (reoccurring & late renewals)	1,700	1,928	2,013
Forced churn (Casetext)	(646)	(646)	(646)
Adjusted ARR per Mgmt.	41,790	48,249	51,262
KPIs - cube only, excl. online			
Ending customers (excl. online)	8,223	8,396	8,296
ARPA (excl. online)	4,485	5,024	5,329
<i>Growth rate, excl. acquired</i>	<i>32.8%</i>	<i>14.4%</i>	<i>17.1%</i>
% GRR (Incl. Downsell)	77.6%	85.5%	83.6%
% GRR (Excl. Downsell)	85.1%	89.3%	87.4%
% NRR	93.9%	96.3%	97.6%

Source: 2.2_Vortex - External Customer Cube (March 2025).xlsx; 2.18_Project Vortex - Databook - Revenue vs ARR.xlsx; KPMG analysis.

Adjusted ARR per Management

Basis of preparation

The analysis on this page presents Management's adjusted ARR (\$51.3 million at Mar-25) – Management have separated ARR into various buckets for analytical purposes. Note, Vortex's methodology for valuing ARR (based on the average annual revenue contribution) differs to Clio's methodology (ARR based on 360 days of revenue, with MRR being daily revenue x 30). Vortex's methodology has been used throughout this report. Refer to the page 14 for further discussion on the reconciliation of ARR to reported revenue.

- **ARR per cube, excl. online:** customer level ARR, excluding revenue from online sales. Revenue is deferred automatically in NetSuite and recognized daily over the contract term. ARR is based on the average annual revenue contribution.
- **Revenue from small firms and online sales:** due to the high volume of customers and the low transaction value, individual revenue entries for small firms and online sales are not all recorded by customer in NetSuite. Management have separated these records from the customer cube for analytical purposes.
- **Reoccurring & late renewals:** includes TTM actual revenue contribution from reoccurring revenue (Next chapter and DA pacer fees), and an adjustment for late renewals (i.e., customers whose contract renewal occurred after the original end date and was backdated at renewal), typically due to procurement delays, internal approvals, or administrative lags. Refer to page 13 for further detail.
- **Forced churn (Casetext):** Management have normalised for a fully anticipated churn due to the acquisition of a customer, Casetext, by a competitor (Thomson Reuters) in Apr-25. Management noted this is contained and acquisition-specific (i.e., no known similar churn in the ARR population).

ARR adjustments

Management's adjusted ARR includes TTM revenue from reoccurring sources (\$1.3 million at Mar-25) and an adjustment for missing ARR due to late renewals (\$0.7 million). The inclusion of reoccurring revenues and late renewals in ARR appears reasonable based on trends in the top 100 customers. Further, Management's approach to reoccurring revenue is conservative (i.e., using the TTM period creates a lag when compared to subscription ARR based on the latest month) – we present a potential upside on page 8 (\$0.1 million at Mar-25) to estimate the impact of this delay based on TTM reoccurring revenue as a proportion of average TTM ARR.

Adjustments (reoccurring & late renewals)					
\$'000	Dec-23	Dec-24	Jan-25	Feb-25	Mar-25
Reoccurring revenue					
Next chapter	492	511	509	504	510
DA - pacer fees	742	752	762	758	753
Reoccurring revenue	1,234	1,263	1,270	1,262	1,263
Late renewals	438	644	881	663	734
Other adjustments / variance	26	20	-	-	15
Reoccurring & late renewals	1,699	1,928	2,151	1,925	2,013
Memo - historical conversion of lates					
Converted as of May-25			832	649	597
% of total			94%	98%	81%
Memo - reoccurring revenue % of ARR					
Adjusted ARR per Mgmt.	41,790	48,249	49,254	50,258	51,262
ARR, excluding reoccurring	40,556	46,986	47,983	48,996	49,999
Avg. TTM ARR, excluding reoccurring		45,107	45,721	46,381	47,088
Reoccurring revenue	1,234	1,263	1,270	1,262	1,263
% of avg. TTM ARR, excl. reoccurring		2.8%	2.8%	2.7%	2.7%
Reoccurring revenue based on TTM %		1,351	1,369	1,368	1,375
Potential upside		88	98	105	112

Note: Management did not provide ARR on a monthly basis. Total reoccurring & late renewals presented above is calculated by taking the difference between total ARR presented in file 2.18 and the other sources (e.g., cube, small firms & online, and forced churn). This results in a small variance when comparing the total to the detail of reoccurring and late renewals provided.

Source: 2.2_Vortex - External Customer Cube (March 2025).xlsx; 2.18_Project Vortex - Databook - Revenue vs ARR.xlsx; 2.42_JRL 4.61 Reoccurring ARR Breakdown by Customer (Apr-25).xlsx; KPMG analysis.



ARR adjustments

Basis of preparation

The table at left presents ARR adjustments related to reoccurring revenue and late renewals for the most recent months.

- **Next chapter:** includes services like credit reports, Virtual Paralegal, and add-ons that complement Vortex's core offerings. Management provided support for the top 100 customers to demonstrate stable, repeatable usage patterns across the customer base (approx. \$32,000 per month from top customers) – reinforcing their assertion this is a reoccurring revenue stream.
- **DA Pacer Fees:** Management note that a review of Docket Alarm customers showed they consistently maintain active research subscriptions, with Pacer usage occurring regularly as part of their ongoing workflows. Note that FY23 data is not available due to QuickBooks limitations – however, FY24 tracking post-migration to NetSuite supports a reoccurring pattern (approx. \$0.2 million each quarter in FY24 and YTD25).
- **Late renewals:** Late renewals refer to customers whose contract renewal occurred after the original end date, typically due to procurement delays, internal approvals, or administrative lags. These customers often continue accessing the service during the gap, and are back-billed upon renewal. As renewals happen after the reporting cutoff, ARR is not reflected in prior months. To present a consistent pattern, Management have added adjustments to cover the full lag period of customers who typically renew late (e.g., if a customer renewed two months late, Management have added ARR adjustments for both missing months).

The adjustment for Jan-25 through Apr-25 also includes some ARR uplift. Note, this was not built from a bottom-up list of specific contracts, but reflects a top-down estimate based on historical renewal behavior to provide a reasonable and historically supported view of late-period renewal conversion.

- Recent conversion metrics on missing ARR due to late renewals supports Management's approach to adjust ARR (e.g., 94% of the \$0.9 million adjustment to Jan-25 has been realized as of May-25).

MRR to revenue reconciliation

We performed an analysis of the difference between MRR and reported subscription revenue, taking into account timing differences, with minimal variance (0.2% for TTM Mar-25 and 1.3% for FY24). Management provided detailed reconciliation by customer for the latest month (Mar-25) as a full reconciliation of historical ARR to revenue was not available – however, a more readily available and traceable reconciliation between ARR and revenue is a potential area of improvement under your ownership.

Note that both revenue and ARR are presented gross of refunds and cancellations – see sensitivity of ARR on page 8 (\$0.8 million at Mar-25).

Reconciliation – MRR to revenue

Reconciliation - MRR to revenue																	
																Average	
\$'000	31-Jan-24	29-Feb-24	31-Mar-24	30-Apr-24	31-May-24	30-Jun-24	31-Jul-24	31-Aug-24	30-Sep-24	31-Oct-24	30-Nov-24	31-Dec-24	31-Jan-25	28-Feb-25	31-Mar-25	FY24	TTM Mar-25
Opening MRR	3,073	3,061	3,100	3,145	3,175	3,195	3,230	3,242	3,258	3,349	3,375	3,407	3,515	3,513	3,575	3,240	3,359
Changes in MRR (adj. to account for timing)																	
(+) New Logo	2	5	4	3	4	6	3	3	9	4	4	3	6	4	8	6	7
(+) Net Reactivation	1	2	3	1	2	2	0	1	2	1	1	3	2	3	3	3	3
(+) Upsell	3	2	3	3	4	3	3	1	2	3	4	10	5	4	8	4	6
(-) Downsell	(8)	(2)	(8)	(5)	(19)	(6)	(6)	(7)	(4)	(7)	(9)	(5)	(7)	(7)	(10)	(6)	(6)
(-) Churn	(31)	(20)	(17)	(16)	(17)	(32)	(22)	(16)	(18)	(22)	(23)	(21)	(54)	(19)	(32)	(22)	(26)
Estimated MRR	3,041	3,047	3,085	3,131	3,148	3,168	3,208	3,226	3,250	3,328	3,353	3,397	3,466	3,498	3,552	3,225	3,342
Small Firms & Online ARR	331	331	331	338	338	338	352	352	352	399	399	399	474	474	474	355	391
Adjustments (recurring & late renewals)	152	150	142	173	167	159	131	147	147	126	140	161	172	193	168	152	159
Estimated MRR (adj. to account for timing)	3,524	3,528	3,559	3,642	3,652	3,665	3,691	3,724	3,748	3,853	3,892	3,957	4,111	4,166	4,194	3,732	3,891
Subscription revenue per P&L (constant currency)	3,413	3,440	3,466	3,523	3,588	3,518	3,679	3,619	3,742	3,858	3,832	4,014	3,978	4,066	4,260	3,685	3,884
Difference	111	87	92	119	65	147	13	105	7	(5)	60	(58)	133	100	(66)	47	8
Difference %	3.3%	2.5%	2.7%	3.4%	1.8%	4.2%	0.3%	2.9%	0.2%	(0.1%)	1.6%	(1.4%)	3.3%	2.5%	(1.5%)	1.3%	0.2%

Basis of preparation

The above table details an alternate approach to reconciling ARR and revenue by estimating the timing of changes (e.g., new, upsell, downsell, etc.) in MRR each month based on discussion with Management. As the typical timing of contract signings (new, reactivation and upsells) is heavily weighted towards month end, reported revenue would only include a few days of revenue while MRR would include a full month. To account for this, we have compared reported revenue to opening MRR, plus in month MRR for new logos, net reactivations and upsells (at 10% to reflect the expected timing of revenue generation), and overlaid downsell and churn at 50% assuming these happen around mid month on average. ARR from small firms & online, recurring revenue are more transactional (i.e., behave differently) and are calculated as ARR divided by 12. Late renewals are also calculated as ARR divided by 12 as we do not have this information on a monthly basis for all periods presented.

① Using this approach, the average difference (based on quarter ends) between MRR and reported subscription revenue is minimal (0.2% for TTM Mar-25 and 1.3% for FY24).

Note, Management also provided a detailed reconciliation for Mar-25 which explains customer specific drivers of differences between ARR and revenue. Commentary was provided for the top 50 customers, and in each case the difference was due to timing differences.

Note also that Management present both revenue and ARR gross of refunds and cancellations (which are presented in the bad debt expense caption). See page 8 for a sensitivity to ARR to account for refunds and cancellations, which should not be included in ARR.

Source: 2.2_Vortex - External Customer Cube (March 2025).xlsx; 2.18_Project Vortex - Databook - Revenue vs ARR.xlsx; KPMG analysis.



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DRAFT

Revenue to cash reconciliation

We have reconciled cash deposits from the Company's cash management tool to revenue within a variance of 0.6% for the YTD Mar-25 period, which is within the range we typically expect for this type of analysis.

We also reconciled the Jan-25 bank statements to deposits and movements in cash per the cash management tool and the balance sheet.

Reconciliation - cash to revenue				
\$'000	Jan-25	Feb-25	Mar-25	YTD Mar-25
Cash deposits	5,495	3,851	5,581	14,927
Less: VAT / sales tax	(215)	(185)	(255)	(655)
Cash deposits excluding taxes	5,280	3,666	5,326	14,272
Revenue (cash basis)				
Reported revenue	4,032	4,115	4,319	12,466
Increase / (decrease) in deferred revenue	2,029	(457)	513	2,085
Total billings	6,061	3,658	4,832	14,551
Decrease / (increase) in accounts receivable	(473)	73	360	(40)
Bad debt accruals	(79)	(2)	(31)	(112)
Bad debt service provided (AR write off)	(14)	(17)	(19)	(49)
Less: accounts receivable movement related to sales tax	22	(3)	(14)	6
Revenue (cash basis)	5,518	3,710	5,128	14,356
Reconciling variance	238	44	(198)	84
Reconciling variance %	4.3%	1.2%	(3.9%)	0.6%
Memo - revenue reconciliation				
Reported revenue per the P&L	4,021	4,130	4,349	12,499
FX difference	11	(14)	(30)	(34)
Reported revenue (constant currency) above	4,032	4,115	4,319	12,466

Commentary

Basis of preparation

The table presented on this page reconciles gross cash deposits (derived from Vortex's cash management reporting tool) to reported revenue, all prepared on a constant currency basis. The reconciliation takes into account balance sheet movements in deferred revenue and accounts receivable (excluding non-cash movements for bad debt), and estimates the VAT / sales tax included in cash deposits.

- In order to estimate the VAT / sales tax, Management provided the applicable sales tax / VAT percentage charged per entity based on invoice data from Dec-24 to Mar-25.

The analysis covers Jan-25 to Mar-25 cash movements, sourced from the company's cash management system. The cash management tool was implemented in Jan-25, and Management indicated that information to reconcile cash to revenue is unavailable for previous periods.

Management provided physical bank statements for Jan-25 which we have reconciled to deposits and movements in cash per the cash management tool and the balance sheet.

This analysis reconciles cash deposits to revenue with a reconciling variance of 0.6% for YTD Mar-25 which is within the range we typically expect for this type of analysis.

Note: Information is presented on a constant currency basis with reference to January 1, 2025.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx, 2.2.2.6_20250515 Project Vortex - Databook -PL.xlsx, 2.48_Cash inflows_ Q1 2025 + April 2025 (from Embat), 2.48.3 VAT&Taxes, and KPMG analysis



03

Quality of earnings / run rate

3.1 Quality of Earnings

17

Quality of earnings – overview (1/2)

Seller has proposed a diligence adjusted EBITDA of \$11.4 million. Management's diligence adjusted EBITDA appears sensible. We identified \$(0.4) million of adjustments, mainly relating to year-end adjustments, resulting in a buy side diligence adjusted EBITDA of \$11.0 million in TTM Mar-25.

Quality of earnings									
\$'000	Sell side			Adjustments			Buy side		
	FY23	FY24	TTM	FY23	FY24	TTM	FY23	FY24	TTM
EBITDA, reported	(5,928)	13,027	14,069	-	-	-	(5,928)	13,027	14,069
Management adjustments	13,584	(2,654)	(2,773)	-	-	-	13,584	(2,654)	(2,773)
Sell side diligence adjustments	1,596	206	119	(103)	(267)	(442)	1,493	(62)	(324)
EBITDA, diligence adjusted	9,252	10,579	11,414	(103)	(267)	(442)	9,148	10,311	10,972
Sell side pro forma adjustments	340	427	339			-			339
Sell side run rate adjustments	2,839	3,066	4,358			(1,221)			3,137
EBITDA, run rate adjusted	12,430	14,072	16,112			(1,663)			14,448
Memo - actionable synergies									
Sell side actionable synergies	704	1,528	1,539						
EBITDA, synergised adjusted	13,134	15,600	17,651						
Memo - capitalized costs (excl. from EBITDA)									
Deferred commissions	969	1,188	1,508				969	1,188	1,508
Income capitalized in fixed assets	8,506	10,476	10,872				8,506	10,476	10,872
Memo - constant currency									
Based on rates at June 1, 2025							(8)	183	292
Based on rates at January 1, 2025							(227)	(97)	(27)

Basis of preparation

A number of adjustments to reported EBITDA are presented, as set out below.

We present a buy-side diligence adjusted EBITDA for FY23, FY24 and TTM Mar-25, and a run rate adjusted EBITDA, including pro forma and run rate adjustments, for TTM Mar-25.

- **Reported EBITDA:** Reflects the Company's reported earnings before tax, interest, foreign exchange, depreciation and amortization charges.
- **Management adjustments:** The sell side due diligence databook prepared by A&M presents management adjustments for each period. The most significant adjustments include a non-operating provision reversal (adj. #C) (FY24: \$5.1 million; YTD Mar-25: \$0.1 million) and add backs for transaction expenses (adj. #A) (FY24: \$1.6 million; YTD Mar-25: \$0.1 million). Refer to pages 19-20 and the sell side diligence databook for further commentary.
- **Sell side diligence adjustments:** Diligence adjustments presented in the sell side diligence databook mainly relate to executive compensation normalizations (adj. #E) (FY24: \$0.2 million; TTM Mar-25: \$0.1 million) and realized Fastcase synergies (adj. #D) (FY24: \$0.1 million) offset by the inclusion of realized transaction FX losses (adj. #G) (FY24: \$(0.1) million). Refer to pages 20-22 and the sell side diligence databook for further commentary.
- **Buy side diligence adjustments:** Reflects refinement of the sell side diligence adjustments presented, including a different approach in normalised bad debt (adj. #1) (FY24: \$(0.2) million; TTM Mar-25: \$(0.2) million) and additional consideration for year end (Dec-24) adjustments (adj. #4) which impact the TTM Mar-25 period (\$(0.2) million). Refer to pages 22-23 for further commentary.

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Quality of earnings – overview (2/2)

Sell side run rate adjusted EBITDA of \$16.1 million for TTM Mar-25 references Mar-25 ARR at a TTM Mar-25 margin. We have refined Management's assumptions to present the latest view of Vortex's cost base (L3M Mar-25 gross margin % and operating expenses) – this results in a run rate adjusted EBITDA of \$14.4 million.

Quality of earnings									
\$'000	Sell side			Adjustments			Buy side		
	FY23	FY24	TTM Mar-25	FY23	FY24	TTM Mar-25	FY23	FY24	TTM Mar-25
EBITDA, reported	(5,928)	13,027	14,069	-	-	-	(5,928)	13,027	14,069
Management adjustments	13,584	(2,654)	(2,773)	-	-	-	13,584	(2,654)	(2,773)
Sell side diligence adjustments	1,596	206	119	(103)	(267)	(442)	1,493	(62)	(324)
EBITDA, diligence adjusted	9,252	10,579	11,414	(103)	(267)	(442)	9,148	10,311	10,972
Sell side pro forma adjustments	340	427	339			-			339
Sell side run rate adjustments	2,839	3,066	4,358			(1,221)			3,137
EBITDA, run rate adjusted	12,430	14,072	16,112			(1,663)			14,448
Memo - actionable synergies									
Sell side actionable synergies	704	1,528	1,539						
EBITDA, synergised adjusted	13,134	15,600	17,651						
Memo - capitalized costs (excl. from EBITDA)									
Deferred commissions	969	1,188	1,508				969	1,188	1,508
Income capitalized in fixed assets	8,506	10,476	10,872				8,506	10,476	10,872
Memo - constant currency									
Based on rates at June 1, 2025							(8)	183	292
Based on rates at January 1, 2025							(227)	(97)	(27)

Basis of preparation

- **Sell side pro forma adjustments:** Pro forma adjustments presented in the sell side diligence databook mainly relate to software cost savings (adj. #H) (FY24: \$0.3 million; TTM Mar-25: \$0.2 million) and incremental lease savings (adj. #I) (FY24: \$0.1 million; TTM Mar-25: \$0.1 million). These appear reasonable and reflect actioned cost savings. Note that Management present a pro forma adjusted EBITDA for FY23 and FY24 but we only present a pro forma and run rate adjusted EBITDA for TTM Mar-25. Refer to page 23 and the sell side diligence databook for further commentary.
- **Sell side run rate adjustments:** Run rate adjustments presented in the sell side diligence databook include increases in subscription revenue to reflect ARR at Dec-23, Dec-24 and Mar-25 with an implied margin for the corresponding period (FY23, FY24 and TTM Mar-25). Refer to page 24 and the sell side diligence databook for further commentary and see below for buy side revisions.
- **Buy side run rate adjustments:** Buy side run rate adjustments refine the cost assumptions presented in the sell side diligence databook to reflect the latest trends in direct costs and operating expenses (based on the last three months to Mar-25, which Management later agreed was a sensible approach). Refer to page 25 for further discussion on run rate.
- **Sell side actionable synergies:** The sell side databook includes actionable synergies related to potential hosting savings (TTM Mar-25: \$0.8 million) and executive restructuring (TTM Mar-25: \$0.7 million). These synergies have not yet been exercised and will need to be implemented post transaction to realize the cost savings. Operational diligence and your input is required to determine the validity of the sell side actionable synergies and any incremental synergies associated with the transaction. Please refer to page 26 and the sell side diligence databook for further commentary.

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Quality of earnings (1/7)

FY24 adjustments include \$1.6 million of transaction expenses related to past M&A processes (adj. #A) and \$0.8 million other non-recurring expenses including a one-off legal claim of \$0.3 million and non-recurring debt financing of \$0.2 million (adj. #B).

Management adjustments total \$2.8 million in TTM Mar-25.

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments				
Transaction expenses	A	12,873	1,633	
Non-recurring expenses	B	711	787	
Non-operating provision reversals	C	-	(5,074)	
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Commentary

Management adjustments

Management separately tracks and records non-recurring expenses in specific trial balance accounts according to the nature. The sell side provided the granular categorization of these adjustments for FY23, FY24 and YTD Mar-25, however did not provide for TTM Mar-25 (see notes in Appendix 6). Note we have also maintained consistent nomenclature with the sell-side databook (e.g. *F.iii – non-recurrent Visa expenses*). Please refer to the sell side databook for further commentary on management adjustments.

A. Transaction expenses: Primarily relates to non-recurring expenses for historical M&A processes including the acquisition of Fastcase in FY23 and previous acquisitions performed by Fastcase (Casemaker, NextChapter, Judicata, and Docket Alarm) (FY24: \$1.4 million; YTD Mar-25: \$0.1 million). Management also adjust for advisory costs related to the Fastcase acquisition and internal restructuring (FY24: \$0.2 million; YTD Mar-25: \$0.1 million).

B. Non-recurring expenses: Comprises the following non-recurring items:

Non-recurring expenses			
\$'000	FY23	FY24	YTD Mar-25
Legal claim accrual	-	256	-
Non-recurring debt financing fees	166	215	58
Non-recurring executive compensation	92	158	42
Rebranding project	-	46	133
Non recurrent taxes	161	-	-
Extra audit expenses	154	-	-
Human Resources Business Partner research fees	-	-	29
Old CRO related taxes paid	-	-	14
Other non-recurring expenses	125	110	19
Unreconciled difference	13	3	-
Non-recurring expenses	711	787	295

Quality of earnings (2/7)

Management adjustments include \$(5.1) million of non-operating provision reversals in FY24, primarily related to an earnout provision recorded in FY22 which was released when payment was not required (adj. #C).

We refine the sell side bonus normalization adjustment in buy side adjustment #2 on page 22.

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments				
Transaction expenses	A	12,873	1,633	
Non-recurring expenses	B	711	787	
Non-operating provision reversals	C	-	(5,074)	
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments				
Realized Fastcase synergies	D	760	129	7
Expense normalizations	E	580	169	155
Non-recurring expenses	F	272	-	-
Realized transactional FX gain / loss	G	(15)	(92)	(43)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Commentary

Management adjustments cont.

C. Non-operating provision reversals: Primarily relates to the reversal of a provision provided for in FY22 related to an earnout which was not required to be paid (FY24: \$(4.6) million). Additionally, this adjustment reverses the release of a provision related to a BCG invoice which was recorded twice (FY24: \$(0.5) million) and provision releases related to a sales tax provision and legal accrual in YTD Mar-25 (\$(0.1) million).

Sell side diligence adjustments

D. Realized Fastcase synergies: As a result of the acquisition of Fastcase, personnel synergies were realized through the consolidation and elimination of overlapping roles, which were either absorbed by the existing team or deemed redundant. Specifically, positions such as Chief Operating Officer, Head of Finance, Sales Representatives, Data Analytics Lead, and Senior Engineer were absorbed. In this adjustment, the costs related to these individuals are added back with an offsetting consideration for the capitalized component of the salary of the Data Analytics lead and Senior Engineer.

E. Expense normalizations: The sell side databook identified normalizations related to the following;

- Executive compensation normalization:** There was a duplication of the roles of the CRO and Global CFO during the Historical Period. This adjustment adds back \$0.1 million in salaries associated with the duplicate positions in TTM Mar-25.
- Bonus normalization:** Cut-off issues with bonuses paid in FY23 and FY24 in which bonuses related to other periods (FY23: \$(46,000); FY24: \$5,000; TTM Mar-25: \$42,000). This adjustment allocates the bonus cost to the period it relates to. See buy side adjustment #2 for refinement to this adjustment.

Quality of earnings (3/7)

Adjustments discussed on this page include expense normalizations relating to bad debt, Outreach software implementation and audit expenses (adj. #E). We refine the sell side bad debt normalization in buy side adjustment #1 on page 22.

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments				
Realized Fastcase synergies	D	760	129	7
Expense normalizations	E	580	169	155
Non-recurring expenses	F	272	-	-
Realized transactional FX gain / loss	G	(15)	(92)	(43)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis



Commentary

Sell side diligence adjustments cont.

E. Expense normalizations: cont.

- iii. **Bad debt normalization:** The sell side bad debt adjustment normalises FY23 bad debt to align with bad debt as a percentage of revenue at 1.2%, consistent with FY22 and FY24 resulting in an adjustment of \$0.4 million in FY23. Please see buy side adjustment #1 for refinement to this methodology.
 - iv. **Outreach normalization costs:** In FY23, Vortex incurred costs related to the implementation of Outreach software. This software was ultimately not deployed. The sell side adjustment adds back \$0.1 million of cost in FY23 associated with the implementation and testing of the software.
 - v. **Audit expense normalization:** According to Management, the audit fee per year amounted to €230k. As a result, a normalization adjustment has been included to adjust the difference between the actual expense recorded each year and the agreed fees (TTM Mar-25: \$(23,000)).
- #### F. Non-recurring expenses:
- Relate to the following expenses incurred in FY23:
- i. **Sales tax:** Between Apr-23 and Dec-23, Vortex did not have a system available in the U.S. to charge sales taxes to customers. In FY24, this system became operational. This adjustment adds back the cost incurred relating to the taxes that were settled by Vortex but not recovered from customers (FY23: \$0.2 million). Note, we have also adjusted NWC and net debt for these non-recurring costs (NWC adj. #D).
 - ii. **NetSuite FC implementation pre-attempt:** Post acquisition of Fastcase in FY23, Vortex incurred \$0.1 million in one-time NetSuite implementation fees. This adjustment adds back these non-recurring costs to adjusted EBITDA.
 - iii. **Non-recurrent Visa expenses:** Due to the Oakley acquisition, two employees converted their U.S. visas to E-class (FY23: \$27,000). This adjustments adds back these costs.

Quality of earnings (4/7)

Sell side adjusted EBITDA reflects the impact of transactional operations in foreign currencies (adj. #G). These are tracked separately and are operational in nature.

We have refined sell side adjustments to bad debt, reducing EBITDA by \$(0.2) million in TTM Mar-25 (adj. #1). We also propose other minimal refinements to the sell side EBITDA \$(36,000) in FY24) (adj. #2&3).

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments				
Realized Fastcase synergies	D	760	129	7
Expense normalizations	E	580	169	155
Non-recurring expenses	F	272	-	-
Realized transactional FX gain / loss	G	(15)	(92)	(43)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments				
Bad debt	1	(149)	(227)	(183)
Bonus normalization	2	-	(23)	-
Software cost savings	3	6	(13)	-
FY24 year end adjustments	4	-	-	(209)
Hein licenses	5	40	(4)	(50)
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Commentary

Sell side diligence adjustments cont.

G. Realized transactional FX gain / loss: The sell side adjustment reflects the impact of transactional operations in foreign currencies during the Historical Period. These are tracked as specific trial balance accounts which are designated as operational in nature. This adjustment reclassifies this portion of FX gains/losses to be included in adjusted EBITDA.

Buy side diligence adjustments

- 1. Bad debt:** A&M's sell side databook includes an adjustment for bad debt (adj. E) which normalises bad debt in FY23 to an average percent of revenue in FY22 and FY24. However, using this approach does not consider out of period bad debt credits recorded in FY24 (\$0.5 million). We recalculated this adjustment to determine bad debt as a % of revenue from Jan-23 to Dec-24 (1.6%) and allocated bad debt expense accordingly, resulting in incremental bad debt cost in each period.
- 2. Bonus normalization:** In support for adj. E provided by Management, A&M noted they discovered additional out of period bonus payments during their roll-forward work (\$23,000) but did not wish to restate the previous adjustment. We have included this additional normalization to reflect the support provided.
- 3. Software cost savings:** Similar to above, in support provided by Management, A&M noted refinement to an adjustment for software costs in the roll forward period however did not wish to restate the previous adjustment provided. We have included this additional adjustment to reflect the support provided.

Quality of earnings (5/7)

We include a \$(0.2) million adjustment in TTM Mar-25 to allocate the FY24 year end royalties and bonus true up monthly (adj. #4).

Sell side pro forma adjustments relate to software cost savings (adj. #H), lease savings (adj. #I) and healthcare savings (adj. #J) (\$0.3 million in TTM Mar-25).

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments				
Bad debt	1	(149)	(227)	(183)
Bonus normalization	2	-	(23)	-
Software cost savings	3	6	(13)	-
FY24 year end adjustments	4	-	-	(209)
Hein licenses	5	40	(4)	(50)
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				
Software cost savings	H			225
Leases savings	I			84
Healthcare savings	J			30
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Commentary

Buy side diligence adjustments cont.

- FY24 year end adjustments:** In Dec-24, Management recorded year end adjustments relating to bonus (\$0.5 million) and royalties (\$0.3 million). In this adjustment we allocate the year end true up monthly during FY24 as a percentage of the corresponding costs. Note, this adjustment is included for consideration of TTM Mar-25 and has no impact on the fiscal years. Refer to NWC adj. #3 for the balance sheet impact.
- Hein licenses:** Management recorded true ups relating to Hein software licensing In Dec-24 and Mar-25, which related to the period from Jan-23 to Mar-25. In this adjustment, we allocate the true ups monthly over the Historical Period as a percentage of total cost to reflect the Hein license cost related to each period.

Sell side pro forma adjustments

Note that these are presented for FY23, FY24 and TTM Mar-25 in the A&M databook but we only present TTM Mar-25 here for the purposes of presenting a buy side TTM Mar-25 run rate EBITDA. See pages 17-18 for full sell side EBITDA analysis.

- Software cost savings:** In FY24, Vortex reduced software costs by centralizing initiatives, eliminating redundancies of software tools/solutions and reducing licenses for those who do not require them. The software savings can primarily be attributed to Salesforce, MailChimp, NetSuite and Trusted Tech Team. This adjustment assumes the latest software cost had been in place throughout the Historical Period.
- Lease savings:** In Feb-25, Vortex signed new contracts for office spaces in Barcelona and Washington resulting in savings of \$34,000 and \$50,000 respectively, in TTM Mar-25. The sell side databook indicated savings have been realized since Apr-25. This adjustment assumes the current rent agreements had been in place throughout the Historical Period.

Quality of earnings (6/7)

Sell side run rate adjustments reference Mar-25 ARR at a TTM Mar-25 margin. We have refined Management's assumptions to present an adjustment based on the latest view of Vortex's cost base (L3M Mar-25 gross margin % and operating expenses) – this results in a run rate adjusted EBITDA of \$14.4 million (see following page).

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				
Software cost savings	H			225
Leases savings	I			84
Healthcare savings	J			30
Sell side pro forma adjustments				339
Sell side run rate adjustments				
Run-rate ARR adjustment on revenue	K			5,270
Additional costs	L			(912)
Sell side run rate adjustments				4,358
Run rate adjustment	6			(1,221)
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Commentary

Sell side pro forma adjustments cont.

J. Healthcare savings: Vortex eliminated long-term disability care and gym memberships for Next Chapter employees. Additionally, there was a change in insurance carrier. This adjustment assumes that these healthcare savings had been in effect in FY24 and TTM Mar-25.

Sell side run rate adjustments

Note, run rate adjustments are only considered and presented for TTM Mar-25, although A&M did apply run rate adjustments to previous periods. See pages 17-18 for full sell side analysis.

See the following page for buy side run rate commentary (adj. #6).

K. Run rate ARR adjustment on revenue: The sell side databook includes run rate revenue which is calculated as annualized subscription revenue in Dec-24 (\$4.3 million) annualized. This results in ARR of \$51.7 million and an incremental revenue adjustment of \$5.3 million for run rate purposes. See the following page for discussion of the buy side run rate ARR approach for Mar-25.

L. Additional costs: The run rate analysis in the sell side databook applies incremental cost of sales associated with revenue noted above (\$5.3 million) at a gross margin of 82.2% which is derived from the TTM Mar-25 sell side adjusted margin. See the following page for discussion on the buy side approach to run rate costs.

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis



Quality of earnings (7/7)

Buy side adjusted run rate EBITDA is based off subscription revenue of \$51.3 million reflecting ARR at Mar-25. Additionally, we have refined the sell side approach to costs to reflect L3M gross margin and operating expenses to reflect recent increases in AI costs and incremental personnel hires – this results in a buy side run rate adjusted EBITDA of \$14.4 million. This is \$1.2 million lower than the sell side's calculation, reflecting the impact of revenues (\$0.4 million), margin (\$0.2 million) and operating expenses (\$0.6 million)

Run rate				
\$'000	FY23	FY24	TTM Mar-25	Run rate
Subscription Revenue	39,614	44,594	46,385	51,262
Non subscription Revenue	652	747	570	570
Other Income	35	41	42	42
Revenue	40,301	45,382	46,996	51,874
Cost of sales	(6,516)	(7,768)	(8,268)	(9,362)
Gross profit	33,785	37,614	38,728	42,512
Gross margin %	83.8%	82.9%	82.4%	82.0% ¹
Operating expenses	(24,637)	(27,302)	(27,756)	(28,064)
EBITDA, adjusted	9,148	10,311	10,972	14,448

Run rate gross margin



Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Buy side run rate

Revenue

- Run rate subscription revenue of \$51.3 million is consistent with the ARR presented on page 12 calculated as ARR per the customer cube, inclusive of small firms & online and adjustments adjusted for the known churn of Casetext (\$0.6 million). This results in a \$(0.4) million difference at EBITDA level compared to the sell side's calculation. We assume non-subscription revenue to be consistent with TTM Mar-25.

Cost of sales

- In order to account for a recent increase in cost base of AI costs (directly related to Vincent AI revenue) partially offset by reductions in royalties and other cost of sales, we have applied an adjusted L3M gross margin on the aggregate of run rate revenue to determine run rate cost of sales. This results in an incremental \$(0.2) million cost of sales in comparison to the sell side run rate analysis. Management noted this was a reasonable approach when questioned.

Operating expenses

- Based on recent headcount increases and offsetting software cost savings, we have used adjusted L3M operating expenses for the purpose of our run rate analysis. This results in an incremental \$(0.6) million of operating expenses included compared to the sell side run rate analysis which did not consider any impact of recent increases in operating expenses and instead made reference to TTM Mar-25. Management noted our revised approach was sensible.

Quality of earnings – actionable synergies

The sell side diligence databook includes actionable synergies in TTM Mar-25 related to hosting savings (\$0.8 million) and executive restructuring (\$0.7 million). These synergies have not yet been exercised and will need to be implemented post transaction to realize the cost savings. Operational diligence and your input is required to determine the validity of the sell side actionable synergies and any incremental synergies associated with the transaction.

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Hosting savings	M			843
Executive restructuring	N			696
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872

Commentary

Sell side actionable synergies

- M. Hosting savings:** Vortex incurred duplicated expenses in the Historical Period from maintaining Amazon Web Services (AWS) for both Fastcase and vLex. By reducing the number of platforms, Management estimate Vortex could achieve annual cost savings amounting to \$0.3 million. In addition, Vortex is currently working on different cost initiatives to reduce hosting expenses (Amazon, Vespa, Google cloud) by moving to a different model. These synergies have not been exercised yet and will need to be implemented post transaction to realize the cost savings.
- N. Executive restructuring:** Vortex added two additional executives as a result of the Fastcase transaction. According to Management, their compensation package as employees remains the same as it was at Fastcase – however, they do not have significant involvement in day-to-day operations, and only one of them has an employee partially reporting to them. Therefore, Management have included this adjustment citing that these positions could be phased out and absorbed by the current team structure. Note, these employees are still currently active and the absorption would need be executed post transaction (including any related costs required to do so).

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis

Quality of earnings – other considerations

Constant currency analysis demonstrates limited exposure in Vortex due to natural hedges between revenue and costs incurred in both USD and Euro. For TTM Mar-25, using the exchange rates at June 1, 2025 results in \$0.3 million of incremental reported EBITDA.

Quality of Earnings				
\$'000	Ref.	FY23	FY24	TTM Mar-25
EBITDA, reported		(5,928)	13,027	14,069
Management adjustments		13,584	(2,654)	(2,773)
Sell side diligence adjustments		1,596	206	119
EBITDA, sell side diligence adjusted		9,252	10,579	11,414
Buy side diligence adjustments		(103)	(267)	(442)
EBITDA, buy side diligence adjusted		9,148	10,311	10,972
Sell side pro forma adjustments				339
Sell side run rate adjustments				4,358
Buy side run rate adjustments				(1,221)
EBITDA, run rate buy side adjusted				14,448
Memo - Sell side actionable synergies				
Hosting savings	M			843
Executive restructuring	N			696
Sell side actionable synergies				1,539
Memo - Capitalized costs (excl. from EBITDA)				
Deferred commissions		969	1,188	1,508
Income capitalized in fixed assets		8,506	10,476	10,872
Other considerations - constant currency				
Based on rates at June 1, 2025		(8)	183	292
Based on rates at January 1, 2025		(227)	(97)	(27)

Commentary

Other considerations – constant currency

A&M provided a constant currency analysis over reported EBITDA which includes the source currency of transactions and the impact of using the rate at January 1, 2025 in comparison to the average monthly rate indicating in the system. We updated this analysis to TTM Mar-25 assuming the same currency split between revenue and costs. Additionally, we updated the analysis to demonstrate the impact of using the exchange rate at June 1, 2025 to show the latest constant currency impact.

The main difference between constant currency at Jun-25 and Jan-25 is the strengthening of the Euro from \$0.96 USD to \$0.88 USD. The business generates net profit in Euros so this strengthening has a net positive impact of \$0.3 million at TTM Mar-25.

EBITDA by currency	
\$'000	TTM Mar-25
USD	7,242
EUR	2,574
CLP	902
MXN	612
GBP	492
PEN	288
BRL	173
ARS	(0)
AUD	(17)
CAD	(304)
COP	(627)
Unreconciled difference	(39)
Sell side diligence adjustments	119
EBITDA, sell side diligence adjusted	11,414

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx; 2.2_Vortex - External Customer Cube (March 2025).xlsx; KPMG analysis



04

Balance sheet

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4.3	Net debt	37

Balance sheet overview (1/3)

Reported net assets are \$64.2 million at March 31, 2025. Significant balances include intangible assets related to goodwill and capitalized development costs (\$118.7 million), cash (\$10.7 million), deferred income (\$26.8 million), and long term loans (\$41.8 million). Refer to Appendix 3 for an adjusted balance sheet inclusive of adjustments to reported net assets contemplated in the Locked Box mechanism at December 31, 2024.

Summary balance sheet			
\$'000	31-Dec-23	31-Dec-24	31-Mar-25
Intangible assets	124,380	118,452	118,680
Financial assets	501	299	358
Tangible assets	123	96	95
Fixed assets	125,004	118,847	119,133
Trade receivables	4,938	7,300	7,340
Deferred expenses	5,714	6,943	7,549
Trade payables	(2,030)	(1,532)	(2,054)
Deferred income	(24,982)	(24,725)	(26,810)
Trade WCR	(16,361)	(12,014)	(13,975)
Non-trade WC	(4,199)	(5,679)	(4,496)
Working capital	(20,560)	(17,693)	(18,471)
Cash	18,541	10,258	10,710
Short Term Investments	2,648	100	97
Other Short Term Debt	(766)	(269)	(675)
Credit Lines	(1,168)	(981)	(911)
Long Term Loans	(38,668)	(41,652)	(41,816)
Net financial debt	(19,413)	(32,543)	(32,594)
Provisions	(5,602)	(42)	(34)
DTA	335	238	238
DTL	(4,707)	(4,171)	(4,038)
Net assets	75,058	64,636	64,234

Commentary

Fixed assets

- **Intangible assets:** Primarily relates to goodwill (Mar-25: \$86.5 million) and capitalized development costs related to content, editorial and software. See the memo on page 9 for discussion of P&L capex associated with R&D. See page 43 for commentary on GAAP considerations related to capitalized R&D.
- **Financial assets:** Relates to minority financial investment holdings, including Irwing Law (\$0.2 million) and various deposits (e.g., security deposits for leases).
- **Tangible assets:** Vortex has limited tangible assets related to hardware, equipment, furniture and fixtures at offices.

Working capital

- **Trade receivables:** Customer billing schedules vary from upfront (65% of ARR), monthly (10% of ARR) to various other arrangements (25% of ARR). Typical customer payment terms are 30 days. At Mar-25, 13% of AR was aged over 120 days past due date. Vortex maintains a bad debt provision and fully provides for any amounts exceeding 360 days overdue. Additionally, those overdue between 181 and 360 days are provisioned at 50%. However, for specific clients where an agreement has been reached, these amounts are not provisioned. Mar-25 included a provision of \$(0.7) million.
- **Deferred expenses:** Commissions are capitalized and amortized according to the contract type. Commissions are deferred for new sales based on an average customer lifetime (which Vortex determined is five years). Conversely for renewals, commissions are deferred based on the average contract term (Vortex determined this to be 14 months; supporting calculations for this average were not provided).

Note: The balance sheet is presented on a constant currency basis with reference to January 1, 2025. Further, this is presented on a reported basis, refer to Appendix 3 for an adjusted balance sheet inclusive of adjustments to NWC and net debt.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsv.



Balance sheet overview (2/3)

Deferred income relates to customers who have paid upfront for their contracts. At Mar-25, \$(9.8) million of the \$(26.8) million of deferred income relates to seven non-standard long term contracts – refer to NWC adj. #2 on page 35 for further discussion.

Summary balance sheet			
\$'000	31-Dec-23	31-Dec-24	31-Mar-25
Intangible assets	124,380	118,452	118,680
Financial assets	501	299	358
Tangible assets	123	96	95
Fixed assets	125,004	118,847	119,133
Trade receivables	4,938	7,300	7,340
Deferred expenses	5,714	6,943	7,549
Trade payables	(2,030)	(1,532)	(2,054)
Deferred income	(24,982)	(24,725)	(26,810)
Trade WCR	(16,361)	(12,014)	(13,975)
Non-trade WC	(4,199)	(5,679)	(4,496)
Working capital	(20,560)	(17,693)	(18,471)
Cash	18,541	10,258	10,710
Short Term Investments	2,648	100	97
Other Short Term Debt	(766)	(269)	(675)
Credit Lines	(1,168)	(981)	(911)
Long Term Loans	(38,668)	(41,652)	(41,816)
Net financial debt	(19,413)	(32,543)	(32,594)
Provisions	(5,602)	(42)	(34)
DTA	335	238	238
DTL	(4,707)	(4,171)	(4,038)
Net assets	75,058	64,636	64,234

Note: The balance sheet is presented on a constant currency basis with reference to January 1, 2025. Further, this is presented on a reported basis, refer to Appendix 3 for an adjusted balance sheet inclusive of adjustments to NWC and net debt.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsv.



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Commentary

Working capital cont.

- **Trade payables:** Standard terms with suppliers vary from 30 to 40 days. Management indicated average DPO for FY24 was calculated at 38 days. At Mar-25, the top 10 suppliers account for 47.8% of purchases. Additionally, 3.0% of AP is aged over 180 days past due date at Mar-25 – however, the agreed Locked Box includes a debit of \$4,000 for overdue AP.
- **Deferred income:** Deferred revenue relates to customers who have paid upfront (which Management noted to be 65% of ARR). Typical contract terms are one year (72% of ARR), two years (11% of ARR) or others (17% of ARR). Certain long term contracts in excess of three years and the corresponding deferred revenue impact are discussed on page 35. At Mar-25, \$9.8 million of deferred revenue relates to seven long term contracts with non-standard terms, considered as part of NWC adj #2.
- **Non-trade working capital:** Primarily relates to sales tax receivable / payable and accrued liabilities relating to royalties, wages, bonus and professional fees.

Net financial debt

- **Cash:** Vortex maintains bank accounts in various operating entities. The largest holding is an interest-bearing money market account used to hold excess operating funds for the US subsidiaries (Mar-25: \$6.1 million).
- **Short term investments:** Includes warranties granted to certain clients in LATAM and €14,000 of cash pledged in La Caixa. See net debt adjustments on page 37 for further discussion.
- **Other short term debt:** Primarily relates to short term Bain interests (Mar-25 \$0.5 million).

Balance sheet overview (3/3)

Financial debt at Mar-25 includes long term loans held with Bain (\$41.8) million) and credit lines held at various institutions (\$0.9) million). Additionally, at Mar-25 provisions related to phantom shares and a previous lease totaled \$(34,000). Both these provisions are discussed further in the net debt analysis on page 40).

Summary balance sheet			
\$'000	31-Dec-23	31-Dec-24	31-Mar-25
Intangible assets	124,380	118,452	118,680
Financial assets	501	299	358
Tangible assets	123	96	95
Fixed assets	125,004	118,847	119,133
Trade receivables	4,938	7,300	7,340
Deferred expenses	5,714	6,943	7,549
Trade payables	(2,030)	(1,532)	(2,054)
Deferred income	(24,982)	(24,725)	(26,810)
Trade WCR	(16,361)	(12,014)	(13,975)
Non-trade WC	(4,199)	(5,679)	(4,496)
Working capital	(20,560)	(17,693)	(18,471)
Cash	18,541	10,258	10,710
Short Term Investments	2,648	100	97
Other Short Term Debt	(766)	(269)	(675)
Credit Lines	(1,168)	(981)	(911)
Long Term Loans	(38,668)	(41,652)	(41,816)
Net financial debt	(19,413)	(32,543)	(32,594)
Provisions	(5,602)	(42)	(34)
DTA	335	238	238
DTL	(4,707)	(4,171)	(4,038)
Net assets	75,058	64,636	64,234

Commentary

Net debt cont.

- **Credit lines:** Includes lines of credit at Popular, Bankia and CaixaBank.
- **Long term loans:** Relates to long term debt held with Bain.
- **Provisions:** At Mar-25, provisions relate to phantom shares to be payable post transaction and a provision related to a previous lease. At Dec-23, a larger provision was related to a potential earn-out provision which was subsequently reversed in FY24 and was not required to be paid (QofE adj. #C). Refer to the net debt analysis on page 40 for further discussion.
- **DTA / DTL:** Relate to deferred tax assets / liabilities in accordance with Spanish GAAP.

Note: The balance sheet is presented on a constant currency basis with reference to January 1, 2025. Further, this is presented on a reported basis, refer to Appendix 3 for an adjusted balance sheet inclusive of adjustments to NWC and net debt.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsv.



Net working capital — Overview

The agreed target working capital is \$(17.0) million. We present a range of potential NWC options depending on the underlying assumptions used for reference period to set the target (from TTM Mar-25 to a 3+3 to Jun-25 considering actual and forecast working capital), and the normalisation of long term deferred revenue (from 1 year to 5 years). The analysis presented speaks mainly to a scenario based on the L6M to Mar-25, and a normalization of long term deferred revenue to an average period of three years, with a resulting NWC target of \$(15.8) million, which is comparable to what has been agreed in the context of the overall deal value.

Net working capital								
\$'000	Ref.	As at	Average					
		31-Dec-24	FY23	FY24	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25
Working capital		(17,693)	(12,325)	(18,889)	(18,507)	(17,711)	(18,309)	(20,502)
Sell side diligence adjustments		2,452	2,064	1,076	1,281	1,557	2,087	1,044
Sell side adjusted working capital		(15,241)	(10,261)	(17,814)	(17,226)	(16,153)	(16,221)	(19,458)
Sell side normalizations		(6,107)	(4,235)	(5,015)	(5,508)	(6,060)	(6,407)	(3,203)
Sell side normalized working capital		(21,347)	(14,496)	(22,829)	(22,734)	(22,213)	(22,628)	(22,661)
Buy side diligence adjustments		6,146	5,076	8,284	7,368	6,377	5,781	5,311
Diligence adjusted		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)
Adjusted working capital								
Trade receivables		7,073	5,944	5,747	6,134	6,883	7,619	6,980
Deferred expenses		836	1,039	885	897	917	1,085	1,001
Trade payables		(1,443)	(2,841)	(2,234)	(2,169)	(1,922)	(2,126)	(1,977)
Deferred income		(18,387)	(12,783)	(17,455)	(18,357)	(19,279)	(20,881)	(21,260)
Non trade working capital		(3,280)	(780)	(1,488)	(1,871)	(2,436)	(2,544)	(2,674)
Adjusted working capital		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)

Note: Sell side normalized working capital differs from Locked Box calculation (\$21,330,000) by \$17,000 due to different amount included for NWC adj. #B in agreed calculation.

Net working capital target - sensitivity matrix				
\$'000	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25
Normal deferred revenue for long term contracts				
5.5 months	(11,777)	(12,256)	(13,258)	(13,760)
11.5 months	(13,572)	(14,051)	(15,053)	(15,555)
17.5 months	(15,366)	(15,837)	(16,848)	(17,350)
23.5 months	(17,162)	(17,641)	(18,643)	(19,145)
29.5 months	(18,957)	(19,436)	(20,438)	(20,940)

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsh; KPMG analysis

Basis of preparation

The net working capital analysis presents average adjusted working capital for FY23, FY24, TTM Mar-25, L6M Mar-25, L3M Mar-25 and 3+3 Jun-25 (including three months of actuals and 3 months of Management forecast). Adjusted working capital comprises of the following components:

- **Reported working capital:** Discussed further on pages 29-30.
- **Sell side diligence adjustments:** Adjustments in the sell side diligence databook mainly related to Fastcase sales tax payable (adj. #D) (FY24: \$0.9 million) and VAT customer invoices (adj. #F) (FY24: \$0.1 million). See pages 33-34 and the sell side diligence databook for further commentary.
- **Sell side normalizations:** Normalizations included in the sell side diligence databook primarily related to deferred commissions (adj. #K) (FY24: \$(5.4) million) and former year true ups (adj. #M) (FY24: \$0.3 million). See pages 34-35 and the sell side diligence databook for further commentary.
- **Buy side diligence adjustments:** Reflect incremental buy side adjustments primarily related to the normalization of deferred revenue on seven non-standard long term contracts (adj. #2). The analysis presented normalises these contracts to an average of 3 years (resulting an average deferred revenue of 17.5 months over the contract term). Please see pages 35-36 for further commentary.

- 1 The table presented opposite shows various approaches of normalising these long term contracts based on different average contract lengths at each time period. The adjustment is judgmental and all scenarios presented opposite represent potential negotiating positions. The agreed working capital target is within the range of potential outcome assuming a 3 year contract term (including 17.5 months of deferred revenue relating to these contracts – representing the average balance across 3 years) – in reality, future NWC will be driven by the mix of contracts including contracts that replace the long term CS DISCO contract (5 year prepayment – see page 8).

Net working capital (1/4)

Sell side diligence adjustments include a \$1.1 million adjustment for CIT receivables and payables for L6M Mar-25 (adj. #C). Other notable adjustments to L6M Mar-25 relate to an ongoing litigation provision (adj. #A) (\$0.2 million) and Fastcase sales tax payable (adj. #D) (\$0.2 million).

Net working capital									
\$'000	Ref.	As at	Average						
		31-Dec-24	FY23	FY24	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25	Agreed position
Working capital		(17,693)	(12,325)	(18,889)	(18,507)	(17,711)	(18,309)	(20,502)	
Sell side diligence adjustments									
Ongoing litigation provisions	A	257	-	21	79	158	230	115	
CRO severance payment	B	208	-	17	27	53	38	19	
CIT receivables and payable	C	1,711	(118)	2	458	1,069	1,684	842	
Fastcase sales tax payables	D	223	928	864	574	221	135	68	
Overdue payables	E	53	764	4	6	18	-	-	
VAT customers reinvoices	F	-	114	105	76	38	-	-	
Discontinued M&A extraordinary legal fees	G	-	-	61	61	-	-	-	
DISCO bonus	H	-	52	-	-	-	-	-	
Fastcase transaction balances	I	-	323	-	-	-	-	-	
Sell side diligence adjustments		2,452	2,064	1,076	1,281	1,557	2,087	1,044	
Sell side adjusted working capital		(15,241)	(10,261)	(17,814)	(17,226)	(16,153)	(16,221)	(19,458)	
Sell side normalizations		(6,107)	(4,235)	(5,015)	(5,508)	(6,060)	(6,407)	(3,203)	
Sell side normalized working capital		(21,347)	(14,496)	(22,829)	(22,734)	(22,213)	(22,628)	(22,661)	
Buy side diligence adjustments		6,146	5,076	8,284	7,368	6,377	5,781	5,311	
Diligence adjusted		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	
Adjusted working capital									
Trade receivables		7,073	5,944	5,747	6,134	6,883	7,619	7,641	6,980
Deferred expenses		836	1,039	885	897	917	1,085	1,001	917
Trade payables		(1,443)	(2,841)	(2,234)	(2,169)	(1,922)	(2,126)	(2,124)	(1,977)
Deferred income		(18,387)	(12,783)	(17,455)	(18,357)	(19,279)	(20,881)	(21,260)	(20,196)
Non trade working capital		(3,280)	(780)	(1,488)	(1,871)	(2,436)	(2,544)	(2,609)	(2,674)
Adjusted working capital		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	(16,950)

Commentary

Sell side diligence adjustments

- Ongoing litigation provision:** In FY24, Management recorded a provision amounting to \$0.3 million related to a claim against NextChapter presented by a client due to fraud. This adjustment removes this provision from working capital and reclassifies it as a debt balance (net debt adj. #3).
- CRO severance payment:** According to Management, there was a duplication of salaries related to CRO functions. This role was eliminated in Oct-24, and its responsibilities were absorbed by the current team. This adjustment relates to the severance payment for the CRO which was recorded in Dec-24 and fully paid in Feb-25. This amount is included in net debt adj. #4.
- CIT receivables and payables:** Vortex's accounts receivable and payable related to corporate income tax are excluded from adjusted working capital and included in net debt (net debt adj. #1).
- Fastcase sales tax payables:** Fastcase did not properly record or pay state sales taxes prior to the acquisition. Post acquisition, this was corrected. This adjustment excludes sales tax penalties and costs related to other periods and leaves a normal level of sales tax in all historical periods. This amount is included in net debt adj. #5.
- Overdue payables:** Overdue balances exceeding 181 days have been excluded from working capital and reclassified as debt-like items (net debt adj. #6). Note, the included amount in the Locked Box is the FY24 average adjustment (\$4,000 asset).
- VAT customer reinvoices:** In the U.S., during FY21, the Group issued invoices to clients including VAT charges. This item has been considered non-operational in nature and has therefore been removed from NWC – although note that there is no balance at the Locked Box date of Dec-24.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsm; KPMG analysis

Net working capital (2/4)

The sell side diligence databook also includes adjustments related to discontinued M&A (adj. #G), a one-time bonus (adj. #H) and Fastcase transaction balances (adj. #I). However, these adjustments do not impact average working capital for the period of L6M Mar-25.

Net working capital									
\$'000	Ref.	As at	Average						
		31-Dec-24	FY23	FY24	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25	Agreed position
Working capital		(17,693)	(12,325)	(18,889)	(18,507)	(17,711)	(18,309)	(20,502)	
Sell side diligence adjustments									
Ongoing litigation provisions	A	257	-	21	79	158	230	115	
CRO severance payment	B	208	-	17	27	53	38	19	
CIT receivables and payable	C	1,711	(118)	2	458	1,069	1,684	842	
Fastcase sales tax payables	D	223	928	864	574	221	135	68	
Overdue payables	E	53	764	4	6	18	-	-	
VAT customers reinvoices	F	-	114	105	76	38	-	-	
Discontinued M&A extraordinary legal fees	G	-	-	61	61	-	-	-	
DISCO bonus	H	-	52	-	-	-	-	-	
Fastcase transaction balances	I	-	323	-	-	-	-	-	
Sell side diligence adjustments		2,452	2,064	1,076	1,281	1,557	2,087	1,044	
Sell side adjusted working capital		(15,241)	(10,261)	(17,814)	(17,226)	(16,153)	(16,221)	(19,458)	
Sell side normalizations									
Audit provision	J	(0)	33	70	16	(3)	-	-	
Deferred expenses normalisation	K	(6,107)	(4,608)	(5,396)	(5,750)	(6,170)	(6,407)	(3,203)	
Former years true up	M	-	339	311	226	113	-	-	
Sell side normalizations		(6,107)	(4,235)	(5,015)	(5,508)	(6,060)	(6,407)	(3,203)	
Sell side normalized working capital		(21,347)	(14,496)	(22,829)	(22,734)	(22,213)	(22,628)	(22,661)	
Buy side diligence adjustments		6,146	5,076	8,284	7,368	6,377	5,781	5,311	
Diligence adjusted		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	
Adjusted working capital									
Trade receivables		7,073	5,944	5,747	6,134	6,883	7,619	7,641	6,980
Deferred expenses		836	1,039	885	897	917	1,085	1,001	917
Trade payables		(1,443)	(2,841)	(2,234)	(2,169)	(1,922)	(2,126)	(2,124)	(1,977)
Deferred income		(18,387)	(12,783)	(17,455)	(18,357)	(19,279)	(20,881)	(21,260)	(20,196)
Non trade working capital		(3,280)	(780)	(1,488)	(1,871)	(2,436)	(2,544)	(2,609)	(2,674)
Adjusted working capital		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	(16,950)

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsb; KPMG analysis

Commentary

Sell side diligence adjustments cont.

- G. Discontinued M&A extraordinary legal fees:** In FY24, a potential M&A process took place, although the transaction ultimately did not proceed. This adjustment removes legal fee accruals related to M&A from working capital due to the non-recurring nature.
- H. DISCO bonus:** Due to the acquisition of the CS DISCO contract, an employee earned a \$0.7 million bonus as commission. This bonus was provided in Dec-23 and paid in Jan-24. As it is considered an extraordinary item, it has been excluded from the Group's normalised working capital, although its impact is nil as of Dec-24.
- I. Fastcase transaction balance:** In Mar-23, due to the acquisition of Fastcase, Vortex recorded extraordinary payables for bonuses, legal fees, etc. These payables were settled in Apr-23 and have been excluded from working capital as they are non-operational in nature.

Sell side diligence normalizations

- J. Audit provision:** Audit expenses are provided on a monthly basis and adjusted annually. According to Management, the audit fee per year amounted to €0.2 million per year. See QofE adj E.v. This adjustment reflects an adjusted audit provision.

Net working capital (3/4)

We have normalised deferred revenue related to seven atypical long term contracts that were billed upfront. Normalised deferred revenue related to these contracts includes 17.5 months of deferred revenue (an average liability over a three year term) in this analysis – but we note that other approaches are possible depending on the expected mix of long term contracts in the future. We present various alternate methodologies to normalise these contracts in Appendix 2.

Net working capital									
\$'000	Ref.	As at	Average						
		31-Dec-24	FY23	FY24	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25	Agreed position
Working capital		(17,693)	(12,325)	(18,889)	(18,507)	(17,711)	(18,309)	(20,502)	
Sell side diligence adjustments		2,452	2,064	1,076	1,281	1,557	2,087	1,044	
Sell side adjusted working capital		(15,241)	(10,261)	(17,814)	(17,226)	(16,153)	(16,221)	(19,458)	
Sell side normalizations									
Audit provision	J	(0)	33	70	16	(3)	-	-	
Deferred expenses normalisation	K	(6,107)	(4,608)	(5,396)	(5,750)	(6,170)	(6,407)	(3,203)	
Former years true up	M	-	339	311	226	113	-	-	
Sell side normalizations		(6,107)	(4,235)	(5,015)	(5,508)	(6,060)	(6,407)	(3,203)	
Sell side normalized working capital		(21,347)	(14,496)	(22,829)	(22,734)	(22,213)	(22,628)	(22,661)	
Buy side diligence adjustments									
Bad debt provision	1	(227)	144	(123)	(110)	(97)	15	7	
Deferred revenue for long term contracts	2	6,338	4,911	7,966	7,076	6,187	5,739	5,291	
Year end adjustment	3	-	-	380	345	240	-	-	
Hein licenses	4	36	21	61	56	47	27	13	
Capex included in AP	5	n.q.	n.q.	n.q.	n.q.	n.q.	n.q.	n.q.	
Buy side diligence adjustments		6,146	5,076	8,284	7,368	6,377	5,781	5,311	
Diligence adjusted		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	
Adjusted working capital									
Trade receivables		7,073	5,944	5,747	6,134	6,883	7,619	7,641	6,980
Deferred expenses		836	1,039	885	897	917	1,085	1,001	917
Trade payables		(1,443)	(2,841)	(2,234)	(2,169)	(1,922)	(2,126)	(2,124)	(1,977)
Deferred income		(18,387)	(12,783)	(17,455)	(18,357)	(19,279)	(20,881)	(21,260)	(20,196)
Non trade working capital		(3,280)	(780)	(1,488)	(1,871)	(2,436)	(2,544)	(2,609)	(2,674)
Adjusted working capital		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)	(16,950)

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis

Commentary

Sell side diligence normalizations

- K. Deferred expense normalization:** Deferred commissions refer to payments made to sales representatives for sales or renewals. This adjustment is intended to normalise deferred commissions, as they represent a non-cash component of working capital, arising solely from accounting treatment.
- L. Former years true up:** This amount relates to the release of provisions (as of Dec-24) for certain invoices that were recorded in previous years. The main expense involved an invoice from BCG, which had been recorded twice in FY22, totaling €0.3 million. Refer to QofE adj C As a result, this adjustments removes the double-counted payable from working capital.

Buy side diligence adjustments

- 1. Bad debt provision:** We normalize bad debt throughout the Historical Period in QofE adj #1. This adjustment updates the bad debt provision to reflect bad debt expense included in the adjusted P&L.
- 2. Deferred revenue for long term contracts:** The majority of Vortex's contracts are paid between monthly and 2 years up front. At Dec-24, deferred revenue included seven contracts billed in advance over three years in length, most notably CS DISCO (\$2.8 million of ARR) which was prepaid for a period of 5 years. There are various approaches at normalising the long term deferred revenue related to these long term contracts. It is likely that the business will generate some level of long term prepaid contracts in the future. The CS DISCO contract may not be renewed when it expires in Aug-28 – so the 'normal' level of working capital will depend on the prepayment terms agreed with future customers. We present various scenarios to normalize the long term deferred revenue in Appendix 2. For the purpose of calculating our adjusted working capital, we normalise the deferred revenue for each of the seven contracts to include an average deferred revenue of 17.5 months to reflect the average deferred revenue on a three year contract.

Net working capital (4/4)

Buy side net working capital adjustments also reflect the balance sheet impact of quality of earnings adjustments related to year end adjustments and Hein license true ups. Additionally, Management indicated there is some limited capex included in AP – however, we have not quantified this amount as Management noted it is not material.

Net working capital								
\$'000	Ref.	As at	Average					
		31-Dec-24	FY23	FY24	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25
Working capital		(17,693)	(12,325)	(18,889)	(18,507)	(17,711)	(18,309)	(20,502)
Sell side diligence adjustments		2,452	2,064	1,076	1,281	1,557	2,087	1,044
Sell side adjusted working capital		(15,241)	(10,261)	(17,814)	(17,226)	(16,153)	(16,221)	(19,458)
Sell side normalizations		(6,107)	(4,235)	(5,015)	(5,508)	(6,060)	(6,407)	(3,203)
Sell side normalized working capital		(21,347)	(14,496)	(22,829)	(22,734)	(22,213)	(22,628)	(22,661)
Buy side diligence adjustments								
Bad debt provision	1	(227)	144	(123)	(110)	(97)	15	7
Deferred revenue for long term contracts	2	6,338	4,911	7,966	7,076	6,187	5,739	5,291
Year end adjustment	3	-	-	380	345	240	-	-
Hein licenses	4	36	21	61	56	47	27	13
Capex included in AP	5	n.q.	n.q.	n.q.	n.q.	n.q.	n.q.	n.q.
Buy side diligence adjustments		6,146	5,076	8,284	7,368	6,377	5,781	5,311
Diligence adjusted		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(17,350)
Adjusted working capital								
Trade receivables		7,073	5,944	5,747	6,134	6,883	7,619	6,980
Deferred expenses		836	1,039	885	897	917	1,085	917
Trade payables		(1,443)	(2,841)	(2,234)	(2,169)	(1,922)	(2,126)	(1,977)
Deferred income		(18,387)	(12,783)	(17,455)	(18,357)	(19,279)	(20,881)	(20,196)
Non trade working capital		(3,280)	(780)	(1,488)	(1,871)	(2,436)	(2,544)	(2,609)
Adjusted working capital		(15,201)	(9,421)	(14,544)	(15,366)	(15,837)	(16,848)	(16,950)

Commentary

Buy side diligence adjustments cont.

- Year end adjustment:** Year end adjustments were included at Dec-24 for royalties and bonuses, see QofE adj #4. This adjustment reflects a monthly royalty and bonus accrual accounting for the year end adjustment allocation included in the adjusted P&L.
- Hein licenses:** Similarly, Hein license true ups were included in Dec-24 and Mar-25 see QofE adj #5. This adjustment updates the Hein license accrual in the Historical Period to reflect the impact of the true ups.
- Capex included in AP:** Management indicated there are capex payments included in accounts payable. However, the amount is immaterial and we have not quantified on a monthly basis.

Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis

Net debt (1/4)

Net debt presented below is representative of the agreed Locked Box. Adjusted debt includes \$(32.5) million of reported net debt, \$(3.0) million of balance sheet reclassifications, and \$(0.1) million of other debt / cash like items. We also discuss other items not included in the agreed Locked Box, but relevant for your consideration on pages 39-40.

Net debt		
\$'000	Ref.	31-Dec-24
Reported net debt		(32,544)
<i>Debt adjustments</i>		
CIT receivables and payable	1	(1,411)
Debt arrangement fees	2	(759)
Ongoing litigation provisions	3	(257)
CRO severance payment	4	(208)
Fastcase sales tax payables	5	(223)
Overdue payables	6	4
Short Term Investments	7	(100)
Balance sheet reclassifications		(2,954)
<i>Other (debt)/cash-like items</i>		
Judicata former shareholder payable	8	(180)
Douglas provision	9	(25)
Nextchapter litigation final cash outflow	10	80
True up of debt based on redemption statements	11	n.q.
Add'l transaction costs (Dec-24 to closing)	12	n.q.
Impact of Handan and Quinhauangdao divestments	13	n.q.
Fastcase China severance	14	-
Other (debt)/cash-like items		(125)
Debt adjustments		(3,079)
Adjusted net debt		(35,623)

Basis of preparation

The net debt analysis presents adjusted debt consistent with the Locked Box agreed to by both parties. Adjusted net debt comprises of the following:

- **Reported net debt:** Cash and debt items included on the reported balance sheet at December 31, 2024,
- **Balance sheet reclassifications:** Reflect items originally included in working capital which have been reclassified to debt. We also remove \$0.1 million of short term investments related to trapped cash.
- **Other (debt)/cash-like adjustments:** Other items identified by both parties as cash / debt like over the course of diligence.

Balance sheet reclassifications

1. **CIT receivables and payable:** Reclassification from working capital. See working capital adj. #C.
2. **Debt arrangement fees:** Include the costs associated with the structuring, negotiation, and securing of Bain debt financing which have been capitalized as an asset to the balance sheet and are reducing the value of the debt held with Bain. This adjustment removes this asset from debt to reflect the amount actually payable.
3. **Ongoing litigation provisions:** Reclassification from working capital due to the nature of the ongoing legal case. See working capital adj. #A.
4. **CRO severance payment:** Reclassification from working capital. See working capital adj. #B.
5. **Fastcase sales tax payables:** Reclassification from working capital. See working capital adj. #D.
6. **Overdue payables:** Reclassification from working capital. See working capital adj #E. Note, the quantification is inconsistent in the agreed position Locked Box to what we observed in our NWC analysis – however, the impact (~\$50,000) is likely immaterial to the valuation.
7. **Short term investments:** Short-term investments recorded under reported net debt include both (i) warranties granted to certain clients in LATAM and (ii) €14k of cash pledged in La Caixa. We have removed this asset from the calculation of net debt as customer warranties are a standard business practice for operating in LATAM, meaning there will always be trapped cash linked to them. Likewise, cash pledged in La Caixa would not be fully available until its related credit facility is settled.

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlxb; KPMG analysis.

Net debt (2/4)

Final quantification of adjustments relating the debt redemption statements (adj. #11), additional transaction costs (post Dec-24) (adj. #12) and the impact of the Fastcase China divestments (adj. #13) have not been quantified in the agreed Locked box. We understand these amounts will either be determined in a later iteration of the Locked Box, or included as known leakage prior to close.

Net debt		
\$'000	Ref.	31-Dec-24
Reported net debt		(32,544)
<i>Debt adjustments</i>		
Balance sheet reclassifications		(2,954)
<i>Other (debt)/cash-like items</i>		
Judicata former shareholder payable	8	(180)
Douglas provision	9	(25)
Nextchapter litigation final cash outflow	10	80
True up of debt based on redemption statements	11	n.q.
Add'l transaction costs (Dec-24 to closing)	12	n.q.
Impact of Handan and Quinhauangdao divestments	13	n.q.
Fastcase China severance	14	-
Other (debt)/cash-like items		(125)
Debt adjustments		(3,079)
Adjusted net debt		(35,623)

Commentary

Other (debt) / cash adjustments

8. **Judicata former shareholder payable:** Relates to an off balance sheet liability owed to a former founder of Judicata who is currently employed in the company.
9. **Douglas provision:** The Fastcase office was relocated prior to Dec-24, leaving an outstanding debt with previous lessor amounting to \$25,000. This item has been considered debt like.
10. **NextChapter litigation final cash outflow:** Related to the ongoing litigation provision, NextChapter has reached a final agreement of payment of \$0.2 million (\$0.1 million less than what was original provisioned above). This adjustment adjusts the litigation provision to what will actually be paid based on the agreement.
11. **True up of debt based on redemption statements:** This adjustment is not quantified at this time however, this accounts for any difference between debt recorded on the balance sheet and the amount paid upon redemption.
12. **Additional transaction costs (Dec-24 to closing):** This adjustment considers the cost of additional transaction costs paid post locked box date but prior to closing. This amount is not quantified at this time.
13. **Impact of Handan and Qinhauangdao divestments:** Relates to the disposition of two entities located in China which are in progress. The disposition of these entities may result in additional costs which will be included in later drafts of the Locked Box, or included as a known leakage adjustment.
14. **Fastcase China severance:** As a result of the disposition of the Fastcase China entities, there is an agreement in place to pay severance to employees should their employment be discontinued. We have quantified this amount as \$0.1 million – however Vortex has indicated they plan to continue employment for all individuals and there will be no requirement to pay severance. Therefore, nil has been included for this adjustment. If amounts are incurred, this will be considered as a known leakage adjustment.

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis.

Net debt (3/4)

Adjusted net debt of \$(35.6) million should be refined during confirmatory diligence for unquantified items in the agreed Locked Box. Note, the agreed Locked Box also excludes certain items identified in diligence relating to potential severance of executives (\$(0.3) million) and Fastcase China employees (\$(0.1) million).

Net debt		
\$'000	Ref.	31-Dec-24
Reported net debt		(32,544)
<i>Debt adjustments</i>		
Balance sheet reclassifications		(2,954)
Other (debt)/cash-like items		(125)
Debt adjustments		(3,079)
Adjusted net debt		(35,623)
Memo - items identified but not included		
CSO and CGO potential severance (QoE synergies)		(342)
Fastcase China severance		(90)
Memo - items to be refined in confirmatory diligence		
True up of debt based on redemption statements		n.q.
Add'l transaction costs (Dec-24 to closing)		n.q.
Impact of Handan and Qinhauangdao divestments		n.q.
Memo - other items settled out of proceeds		
Phantom shares		n.q.
2nd Oakley earnout		(15,609)
Fastcase earnout		(10,000)

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlxb; KPMG analysis.

Commentary

Items identified during diligence but not included in agreed Locked Box

- **CSO and CGO potential severance:** In the sell side actionable synergies presented, there is planned executive restructuring which eliminates two positions. We included the cost of severance contracted to these individuals. Ultimately, this item was excluded from adjusted net debt as the positions still exist and the elimination may or may not occur – but if the synergies are carried out as planned, this cash outflow should be considered.
- **Fastcase China severance:** As part of the ownership transfer of Fastcase China and in exchange for an increased monthly service agreement, Fastcase Inc. agreed to assume 80% of severance payments accrued before Dec 31, 2024, if and when incurred in the future. Severance is only payable in case of dismissals that trigger severance payment (excluding voluntary resignation & justified dismissals). Vortex is potentially liable up to a maximum of \$189,000 – note, this was negotiated down to \$90,000 as an consideration outside of the Locked Box in the latest version shared. We have not included this in adjusted net debt as we understand there are no plans to eliminate positions in the Fastcase China entities post transaction (see previous page).

Items to be refined in confirmatory diligence

- **True up of debt based on redemption statements:** Remains unquantified in the agreed Locked Box and adjusted debt table. However, debt or leakage should be trued up based on redemption statements to include the full cost of settling outstanding facilities including any other fees, interest and penalties.
- **Additional transaction costs:** Remains unquantified in the agreed Locked Box and adjusted debt table. For the avoidance of doubt, debt or leakage should include all Seller-incurred Transaction Costs including reverse diligence costs.
- **Impact of Handan and Qinhauangdao divestments:** Remains unquantified in the agreed Locked Box and adjusted debt analysis – however, the seller should cover any cash outflow impact from the disposal of the Chinese Entities (as well as any tax liabilities) through either a debt or leakage adjustment.

Net debt (4/4)

Additional debt items identified over the course of our diligence are treated outside of the Locked Box in the latest draft SPA, including payments related to phantom shares (n.q.), the Oakley earnout (\$(15.6) million) and the Fastcase earnout (\$(10.0) million). We understand these are excluded from adjusted net debt but will be settled out of proceeds from the transaction.

Net debt	
\$'000	Ref. 31-Dec-24
Reported net debt	(32,544)
<i>Debt adjustments</i>	
Balance sheet reclassifications	(2,954)
Other (debt)/cash-like items	(125)
Debt adjustments	(3,079)
Adjusted net debt	(35,623)
Memo - items identified but not included	
CSO and CGO potential severance (QoE synergies)	(342)
Fastcase China severance	(90)
Memo - items to be refined in confirmatory diligence	
True up of debt based on redemption statements	n.q.
Add'l transaction costs (Dec-24 to closing)	n.q.
Impact of Handan and Quinhauangdao divestments	n.q.
Memo - other items settled out of proceeds	
Phantom shares	n.q.
2nd Oakley earnout	(15,609)
Fastcase earnout	(10,000)

Commentary

Other items settled out of proceeds

- **Phantom shares:** Certain Vortex employees were granted phantom shares as additional remuneration. We understand the cost of settling these liabilities will be paid by the sellers out of the proceeds from this transaction, as shares are transferred and liquidated.
- **2nd Oakley earnout:** As a result of the Oakley's investment in the Group, an earnout was agreed, including a potential cash outflow of €(15.0) million at exit. We understand this amount will be settled by the sellers out of proceeds.
- **Fastcase earnout:** An earnout related to the previous acquisition of Fastcase is payable for \$(10.0) million. This amount will be settled by the sellers out of proceeds of this transaction,

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis.

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Financial reporting & GAAP considerations

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Financial reporting environment

The information on this page is based on responses from the sell side diligence providers (A&M). We have not performed any testing of systems or controls, and have not performed an audit or review of any financial information.

Organization and reporting process

The financial information presented in this report is primarily based on data contained in the sell side due diligence databook prepared by A&M related to the periods of FY23 and FY24. Reported financial information contained in the sell side due diligence databook was exported from monthly trial balances provided by Management.

A&M indicated the current finance team is competent and appropriately staffed for the current scale of operations. They describe the team consisting of professionals with strong expertise in finance and knowledge of industry-specific metrics, and a balance between long tenured employees and recent Big Four hires.

The finance team performs a monthly close of income and expense records. Additionally, the Company conducts more comprehensive quarterly and annual closes, with a particular focus on reviewing accruals such as royalty and annual bonus accruals (refer to QoE adj# 4 and NWC adj. # 3). The finance team also perform analysis of accrued expenses and deferred cost to review matching and completeness.

There are three levels of group monthly financial review (Finance Manager, Director of Finance and CFO).

The Company uses NetSuite for financial reporting purposes and to track ARR.

Key policies applied

The key accounting policies applied in preparing the Company's financial statements are set out below:

- **Subscriptions:** Deferred revenue is automatically recognized upon invoicing and managed through NetSuite without manual intervention. Subscription revenue is recognized ratably over the contract term (on a daily basis). Note, many of Vortex's customers are invoiced monthly for the current month (this revenue is not deferred).
- **Non-subscription:** Transactional access to the Vortex and third-party platforms is charged on a pay-per-document basis and recognized at the point in time when the service or transaction is performed. Professional services are also recognized when the service is performed.
- **Self-constructed assets:** Internal personnel costs associated with the R&D department are capitalized.

The Company reports under Spanish GAAP. Please see pages 43-47 for a comparison between GAAP frameworks.

Audit experience

The consolidated financial statements of the company are subject to annual audit by KPMG.

Please see Appendix 1 for reconciliation to the audited financial statements for FY23 (for 9 months) and the Directors report for a full 12 months (including the acquisition of Fastcase) and for FY24.

GAAP differences – P&L

Key Spanish vs US GAAP differences are set out on the following pages. Note that quantification of GAAP differences is not included in this scope of work, and all QoE analysis has been performed in Spanish GAAP. Quantification of differences can be performed at a later stage at your request.

Amounts in 000s	2023	2022	GAAP conversion impact?	Potential impact rating (Low, Med, High)	Summary of potential impacts	Q of E impact	PPA impact	Go forward accounting impact
Revenue	28,530	17,892	Yes	High	Under USGAAP ASC 606, a five-step model is used to implement the core “transfer of control” principle that is used to determine when to recognize revenue, and at what amount. Revenue recognized at a point in time or over time. Note, refunds and cancellations are recorded through bad debt (rather than an offset to revenue). Potential impacts that can be highlighted are around termination and renewal of the contracts. Further assessment is needed to quantify and evaluate the difference.	✓		✓
Self-constructed assets	5,891	2,377	Yes	High	Based on the policy note this appears to be the capitalization of self constructed intangible assets. In general under US GAAP the bar is much higher for capitalization to occur and such would anticipate that these would be largely expensed under US GAAP.	✓	✓	✓
Supplies	(2,729)	(1,760)	No	Low	No material GAAP differences - both standards require expenses to be recognized when incurred or when probable.			
Other operating income	25	25	No	Low	Immaterial			
Personnel expenses	(15,280)	(9,845)	No	Low	No material GAAP differences anticipated.			
Other operating expenses	(16,017)	(10,406)	No	Low	No material GAAP differences - both standards require expenses to be recognized when incurred or when probable. However, given the lack of description within the statements would require further information to make a more detailed assessment. Upon acquisition, the assets will be fair valued on the PPA, therefore no difference upon acquisition.			✓
Amortization and depreciation	(12,345)	(4,673)	No	Low	Post acquisition an assessment of the acquired assets' useful lives will need to be performed. ASC 350 should be used in this assessment. Potential disclosure impacts pending how the policies align with Clío.			
Results from operating activities	(11,925)	(6,390)						
Finance income	134	87	No	Low	Immaterial			
Finance cost	(3,302)	(8,338)	No	Low	No material GAAP differences - both standards require expenses to be recognized when incurred or when probable.			
Exchange gains/losses	(1,911)	(8)	No	Low	No assessment performed.			
Financial result	(5,079)	(8,259)						
Profit (loss) before tax	(17,004)	(14,649)						
Other considerations:								
Deferred commission costs / incremental costs of obtaining a contract								
			Yes	High	Under US GAAP, incremental costs of obtaining a contract that would not have been incurred if the contract had not			

GAAP differences – BS (1/4)

Amounts in 000s	2023	2022	GAAP conversion impact?	Potential impact rating (Low, Med, High)	Summary of potential impacts	Q of E impact	PPA impact	Go forward accounting impact
					At Acquisition Date Under US GAAP, intangibles acquired in a business combination are initially measured at fair value. As such, upon acquisition a fair value analysis will need to be performed to remeasure value of the intangible assets held by Felix Spain. Thus, no GAAP conversion impact on acquisition date for Felix Spain, as the PPA will form the new value of the intangible assets. Post Acquisition Post acquisition an assessment of the acquired assets' useful lives will need to be performed. ASC 350 provides guidance on the factors that should be considered. Depending on the outcome of this assessment, there may be an impact on the accounting policy disclosure for Clio as well as the potential of further disaggregating intangible asset types and alignment for amortization policy. Going forward, management will need to assess R&D costs under US GAAP and whether it meets the criteria for capitalization.		✓	✓
Intangible assets	119,012	77,875	Yes	High	At Acquisition Date Upon Clio's acquisition, assets will be fair valued through the PPA. As such, no GAAP difference upon acquisition. A classification assessment of tangible assets will need to be performed, however based on the financial statements of Felix Spain, tangible PP&E assets are made up of fixtures and other equipment which would be appropriately classified as Furniture and fixtures within Clio's financial statements. Post Acquisition No determined impact from GAAP transition as both standards require PP&E assets to be recognized at cost and subsequently amortized over their useful lives. However, there will be an impact arising from consolidation due to the policy differences in useful lives determinations between Clio and Felix Spain. However, due to the balance for these assets not being material we do not expect a material adjustment. No further work required.			
Property, plant & Equipment	114	93	No	Low				
Non-current financial investments	472	428	No	Low	Immaterial - no significant impact anticipated.			
Deferred tax assets	325	226	Yes	High	Refer to deferred tax liabilities			
Non-current accruals	2,491	2,068	Yes	High	Non-current accruals relate to incremental costs on customer contracts, pending transfer to the income statement. Please refer to revenue recognition for further commentary.			
Total non-current assets	\$ 122,414	\$ 80,690						

GAAP differences – BS (2/4)

Amounts in 000s	2023	2022	GAAP conversion impact?	Potential impact rating (Low, Med, High)	Summary of potential impacts	Q of E impact	PPA impact	Go forward accounting impact
Total non-current assets	\$ 122,414	\$ 80,690						
					At Acquisition Date Under US GAAP, entities should recognize and measure financial assets acquired in a business combination at fair value which will be allocated as part of the PPA. Felix Spain currently recognizes trade receivables at nominal value with adjustments made to reflect any expected unrecoverable amounts. This approximates fair value and as such there is limited impact on the acquisition date. Post Acquisition Under US GAAP, the subsequent measurement for short term receivables is to hold these amounts at amortized cost less any expected credit losses. As such, these assets will need to be assessed under US GAAP requirements for CECL post acquisition. Under US GAAP, the Current Expected Credit Loss or "CECL" model allows the impairment model to be based on expected losses rather than incurred losses. The CECL model uses a single measurement approach based on lifetime ECLs. Lifetime ECLs are recorded upon initial recognition of an instrument.			
Trade and other receivables	5,805	3,415	Yes	Medium	As a result, all financial instruments in its scope generally carry a loss allowance, even if the risk of loss is remote.			
Current investments	2,561	12	No	Low	Majority of this balance relate to deposits on leased office space. No anticipated GAAP difference here. Current accruals relate to incremental costs on customer contracts, pending transfer to the income statement. Please refer to revenue recognition for further commentary.			
Current accruals	2,943	2,185	Yes	High	In 2022, this balance was mostly prepayments.			
					At Acquisition Date Under US GAAP, entities should recognize and measure financial assets acquired in a business combination at fair value which will be allocated as part of the PPA. Felix Spain currently recognizes cash at nominal value. As such the expected impact from acquisition is limited. Post Acquisition Under US GAAP, cash balances are required to be held at nominal value.			
Cash and cash equivalents	17,084	6,306	No	Low				
Total current assets	28,393	11,918						
Total assets	\$ 150,807	\$ 92,608						

GAAP differences – BS (3/4)

Amounts in 000s	2023	2022	GAAP conversion impact?	Potential impact rating (Low, Med, High)	Summary of potential impacts	Q of E impact	PPA impact	Go forward accounting impact
Total non-current assets	\$ 122,414	\$ 80,690						
					At Acquisition Date At the transaction date, all ordinary shares held by Felix Spain will be acquired by Clio and as such upon consolidation, the subscribed capital of Felix Spain is eliminated fully from the perspective of Clio consolidated accounts.			
					Post Acquisition No impact - from the perspective of the Clio financial statements, the subscribed capital of Felix Spain will be nil when consolidated.		✓	
Capital and reserves	72,025	44,546	No	Low				
					Both standards require initial measurement at transaction price, however, US GAAP requires financial liabilities to be subsequently measured at fair value while Spanish GAAP requires this to be recognized at the purchase price. For longer settlement liabilities, US GAAP ASC 835 does allow discounting for liabilities if the aggregate amount of the liability and the timing of cash payments to settle the liability are fixed or reliably determinable.			
					However, as these debt amounts are expected to be extinguished upon acquisition, there is not a material impact arising from the GAAP differences noted above.			
Non-current debt	37,175	30,097	No	Low				
					At Acquisition Under US GAAP, entities should recognize and measure financial liabilities acquired in a business combination at fair value which will be allocated as part of the PPA. On consolidation, Clio will need to book deferred tax liability differences on the PPA allocation as a result of fair value adjustments with respect to the intangible assets recognized for Felix Spain.		✓	
					Post Acquisition Under US GAAP, deferred tax is tax payable or recoverable in future periods, generally as a result of the entity recovering or settling its assets and liabilities for their current carrying amount, and as a result of the tax effect of the carry forward of currently unused tax losses and tax credits. Post acquisition, deferred tax will need to be recalculated regularly under US GAAP. These differences will be factored into the deferred tax calculations prepared at the Clio PPA level.			✓
Deferred tax liabilities	4,523	6,521	Yes	High				
					Both standards require initial measure at transaction price, however, US GAAP requires financial liabilities to be subsequently measured at fair value while Spanish GAAP requires this to be recognized at the purchase price. In practice, due to the expected settlement of these liabilities, the fair value approximates the settlement value and as such there are no material differences between the standards.			
Non-current accruals	584	746	No	Low				
Total non-current liabilities	42,282	37,364						

GAAP differences – BS (4/4)

Amounts in 000s	2023	2022	GAAP conversion impact?	Potential impact rating (Low, Med, High)	Summary of potential impacts	Q of E impact	PPA impact	Go forward accounting impact
Current provisions	5,318	-	N/A	N/A	Generally speaking there are differences in the valuation methodology of provisions between Spanish GAAP and US GAAP due to US GAAP being more prescriptive on the threshold at which a provision should be recognized as well as requiring provisions to be initially recognized at the lower end of the expected settlement outcomes (if no information provides a better estimate). Both standards require initial measurement at transaction price, however, US GAAP requires financial liabilities to be subsequently measured at fair value while Spanish GAAP requires this to be recognized at the purchase price. In practice, due to the expected settlement of these liabilities (that they are short term), the fair value approximates the settlement value and as such there are no material differences between the standards.		✓	✓
Current debt	1,847	1,703	No	Low	Further as these debt amounts are expected to be extinguished upon acquisition, there is not a material impact arising from the GAAP differences noted above.			
Trade and other payables	6,928	2,504	No	Low	Both standards require initial measure at transaction price, however, US GAAP requires financial liabilities to be subsequently measured at fair value while Spanish GAAP requires this to be recognized at amortized cost. Given the expected settlement of these liabilities (that they are short term), the fair value approximates the settlement value and as such there are no material differences between the standards.			
Contract liabilities	22,407	6,491	Yes	High	ASU 2021-08 requires acquiring entities to apply ASC 606 to recognize and measure contract assets and contract liabilities in a business combination. Historically these have been measured at fair value on the acquisition date.		✓	✓
Total current liabilities	36,500	10,698						
Total equity and liabilities	150,807	92,608						

Other considerations:

Leases			Yes	High	At acquisition date Under ASC 842, a lessee can have either a finance or operating lease. There are no lease liabilities or ROU assets on the balance sheet. As such, there would be a GAAP difference under ASC 842 as all lease agreements will need to be evaluated under ASC 842. A day one fair value adjustment also needs to be considered.		✓	✓
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Appendices

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1. Trial balance reconciliation to audited financial statements

VDD to Audit reconciliation						
€'000	VDD Databook		Variance		Audit (Directors report)	Audit
	FY23	FY24	FY23	FY24	FY23	FY24
Revenue	37,325	41,943	(0)	(734)	37,325	42,677
Cost of sales	(6,046)	(7,165)	(2,492)	(3,512)	(3,554)	(3,653)
Gross profit	31,279	34,779	(2,492)	(4,246)	33,771	39,024
Non-Headcount	(2,212)	(1,982)	(2,212)	(1,982)	-	-
Headcount	(9,558)	(10,900)	(9,558)	(10,900)	-	-
Sales & Marketing	(11,769)	(12,882)	(11,769)	(12,882)	-	-
Non-Headcount	(2,466)	(3,107)	(2,466)	(3,107)	-	-
Headcount	(8,268)	(9,227)	(8,268)	(9,227)	-	-
Research & Development	(10,734)	(12,334)	(10,734)	(12,334)	-	-
Non-Headcount	(5,862)	(5,578)	17,719	12,254	(23,582)	(17,832)
Headcount	(4,536)	(5,148)	18,887	18,113	(23,422)	(23,261)
General & Administrative	(10,398)	(10,726)	36,606	30,367	(47,004)	(41,093)
Cash EBITDA	(1,622)	(1,164)	11,611	905	(13,233)	(2,069)
Deferred Commissions	895	1,099	895	1,099	-	-
Income Capitalized in Fixed Assets	7,858	9,692	(0)	(0)	7,858	9,692
EBITDA (including management adjustments)	7,131	9,627	12,507	2,003	(5,376)	7,624
Non recurrent expenses	(12,465)	2,583	(12,465)	(2,003)	-	4,586
EBITDA	(5,334)	12,211	41	1	(5,376)	12,210

VDD to Audit reconciliation			
€'000	VDD Databook	Variance	Audit
	FY23 (9m)	FY23	FY23 (9m)
Revenue	28,555	0	28,555
Cost of sales	(4,730)	(2,001)	(2,729)
Gross profit	23,825	(2,001)	25,826
Non-Headcount	(2,079)	(2,079)	-
Headcount	(6,877)	(6,877)	-
Sales & Marketing	(8,956)	(8,956)	-
Non-Headcount	(1,751)	(1,751)	-
Headcount	(6,270)	(6,270)	-
Research & Development	(8,021)	(8,021)	-
Non-Headcount	(4,298)	11,719	(16,017)
Headcount	(3,400)	11,879	(15,280)
General & Administrative	(7,698)	23,598	(31,297)
Cash EBITDA	(851)	4,621	(5,471)
Deferred Commissions	538	538	-
Income Capitalized in Fixed Assets	5,891	(0)	5,891
EBITDA (including management adj.)	5,579	5,159	420
Non recurrent expenses	(5,115)	(5,115)	-
EBITDA	464	44	420

Note: We have compared FY23 per the VDD databook to the Directors report (as both include a full year of Fastcase results, whereas the Audited FS only include post acquisition results from Fastcase). We also compare the 9 month results in the table on the right of this page. Variances are primarily due to Management tracking non-recurrent expenses separately in the trial balances (i.e., not presented in the relevant costs captions in the audit/directors report).

Source: 2.2.2.6_20250515 Project Vortex - Databook - PL.xlsx. Audited FS for 2023 and 2024.

2. Long term contracts deferred revenue

Notable contracts with long term deferred revenue											
Customer ID	Contract Term (months)	Contract Term (yrs)	Billing Schedule	Users	Business Unit	Reporting Group	ARR Group	Contract Start Date	Renewal Date	ARR Dec-24 (\$'000)	Revenue per month (\$'000)
106727518	60	5.0	Upfront	Enterprise	US	US Data License	US Government & Other Institutions	Aug-23	Aug-28	2,800	233
79651360	36	3.0	Upfront	3000	Spain	Europe Key Accounts	Europe	Mar-22	Jun-25	354	29
105966872	43	3.6	Upfront	Enterprise	North America	Canada	International	Jun-23	Dec-26	180	15
105893756	60	5.0	Upfront	Enterprise	US	US Data License	US Government & Other Institutions	Aug-20	Aug-25	100	8
105988691	36	3.0	Upfront	Enterprise	US	US Corrections	US Government & Other Institutions	Apr-22	Mar-25	66	6
105966872	43	3.6	Upfront	Enterprise	North America	Canada	International	Jun-23	Dec-26	60	5
106330636	60	5.0	Upfront	Enterprise	US	US Data License	US Government & Other Institutions	Jul-23	Jul-28	30	3

Net working capital target - sensitivity matrix				
\$'000	TTM Mar-25	L6M Mar-25	L3M Mar-25	3+3 Jun-25
5.5 months	(11,777)	(12,256)	(13,258)	(13,760)
11.5 months	(13,572)	(14,051)	(15,053)	(15,555)
17.5 months	(15,366)	(15,837)	(16,848)	(17,350)
23.5 months	(17,162)	(17,641)	(18,643)	(19,145)
29.5 months	(18,957)	(19,436)	(20,438)	(20,940)
Agreed NWC target	(16,950)			

Commentary

- Seven long term contracts detailed above were billed upfront and include non-standard terms (over three years). This results in a higher reported deferred revenue (in comparison to typical subscriptions that include monthly payments or advance payments under three years).
- The level of 'normal' deferred revenue related to these contracts has a substantial impact on the working capital target. This adjustment is subjective and depends on the assumed 'normal' term for long-term prepaid contracts. Therefore, we created a sensitivity matrix including various levels of deferred revenue relating to these contracts, ranging from 1 to 5 years (average deferred revenue of 5.5 to 29.5 months).
- Additionally, the time period referenced in the average impacts the working capital target.
- Ultimately, the agreed working capital target is \$(17.0) million which is within the range of the inclusion of 17.5 months of these contracts (reflecting an average liability over a three year contract).

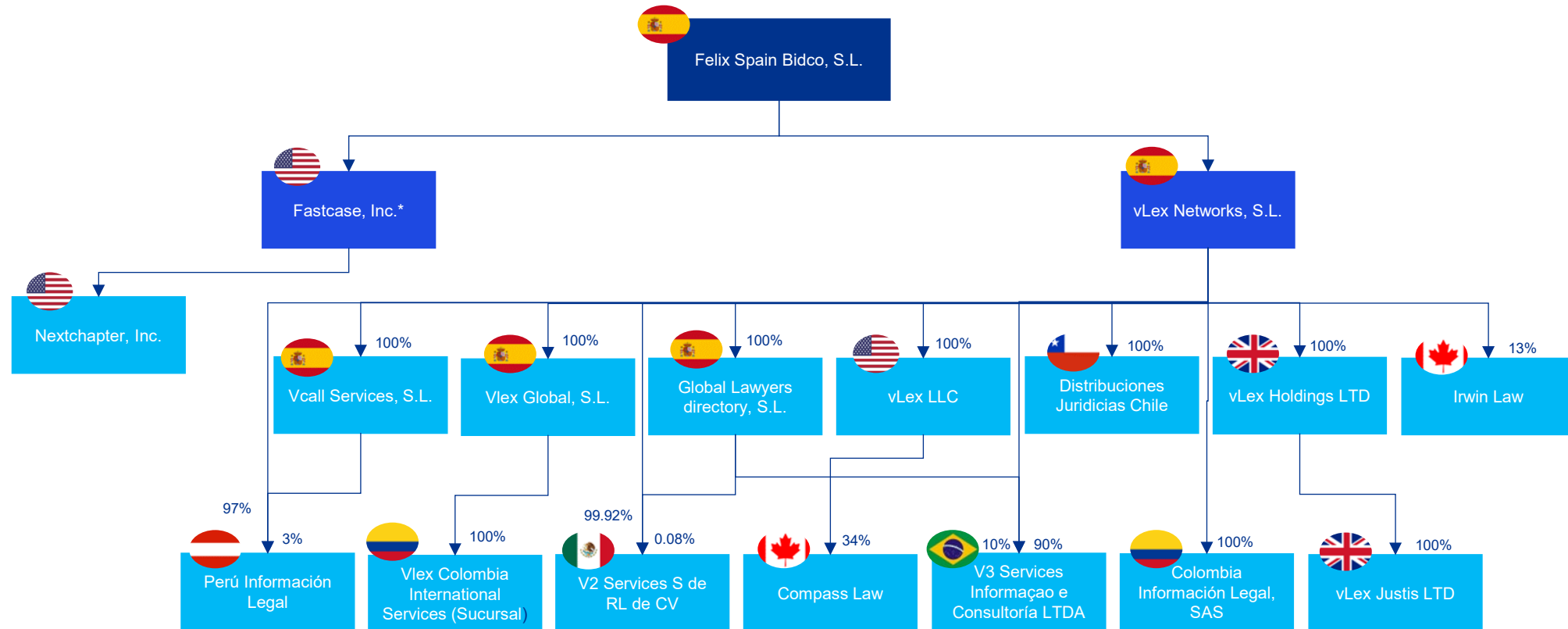
Source: 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis

3. Stratified balance sheet at 31-Dec-24

Stratified BS					
\$'000	Fixed assets	NWC	Net (debt)	Other	Dec-24
Fixed assets	118,847	-	-	-	118,847
Trade receivables	-	7,300	-	-	7,300
Deferred expenses	-	836	-	6,107	6,943
Trade payables	-	(1,479)	4	(57)	(1,532)
Deferred income	-	(24,725)	-	-	(24,725)
Trade WC	-	(18,067)	4	6,049	(12,014)
Non-trade WC	-	(3,263)	(2,099)	(317)	(5,679)
Working capital	-	(21,330)	(2,095)	5,733	(17,693)
Cash	-	-	10,258	-	10,258
Short Term Investments	-	-	-	100	100
Other Short Term Debt	-	-	(269)	-	(269)
Credit Lines	-	-	(981)	-	(981)
Long Term Loans	-	-	(42,411)	759	(41,652)
Net financial debt	-	-	(33,402)	859	(32,543)
Provisions	-	-	(25)	(17)	(42)
DTA	-	-	-	238	238
DTL	-	-	-	(4,171)	(4,171)
Net assets	118,847	(21,330)	(35,522)	2,642	64,636
Other items					
Judicata former shareholder payable			(180)		
Nextchapter litigation final cash outflow			80		
Net assets	118,847	(21,330)	(35,622)	2,642	64,636
Memo - items identified but not included					
CSO and CGO potential severance (QoE synergies)			(342)		
Fastcase China severance			(90)		
Memo - items to be refined in confirmatory diligence					
True up of debt based on redemption statements			n.q.		
Add'l transaction costs (Dec-24 to closing)			n.q.		
Impact of Handan and Quinhauangdao divestments			n.q.		
Memo - other items settled out of proceeds					
Phantom shares			n.q.		
2nd Oakley earnout			(15,609)		
Fastcase earnout			(10,000)		

Source: 2.2.2.4_20250515 Project Vortex - Locked box memo.xlsx; 2.2.2.5_20250515 Project Vortex - Databook - Balance Sheet.xlsx; KPMG analysis.

4. Corporate Chart. vLex Group (as at April 24, 2025)



* Fastcase Inc is a sole shareholder of two Chinese entities: Handan Fastcase Software Development CO, LTD* and Qinhuangdao Fastcase Software Development CO, LTD However an agreement was reached for the sale of 100 % of those companies. Such transfer is in process of being registered with the Chinese authorities. When the transfer is completed, this entities will no longer form part of the Group.

Source: 1.2.1_20250424 Group Corporate Chart.pptx

5. Important notice

General

Our report is for the benefit and information only of those parties who have accepted the terms and conditions of our Engagement Letter and should not be copied, referred to or disclosed, in whole or in part, without our prior written consent, except as specifically permitted in our Engagement Letter. To the fullest extent permitted by law, we will not accept responsibility or liability to any other party (including those parties' legal and other professional advisers) in respect of our work or the report.

Our work commenced on May 7, 2025 and our fieldwork for this report was completed on June 24, 2025. We have not undertaken to update our report for events or circumstances arising after that date.

In preparing our report, our primary source has been Target's internal management information and representations made to us by Management of Target. We do not accept responsibility for such information which remains the responsibility of Management. Details of our principal information sources are set out in the basis of preparation and we have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information that was made available to us in the course of our work in accordance with the terms of our Engagement Letter. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The contents of this report have not been reviewed by the Management of Target and the factual accuracy of this report has not been confirmed by the Management.

We accept no responsibility or liability for the findings or reports of legal and other professional advisers, even though we have referred to their findings and/or reports in our report.

KPMG approach

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalised'/'underlying' earnings and working capital is for indicative purposes only. We have sought to illustrate the effect on EBITDA/working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Company/Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalised'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings/working capital for future periods may be affected by such items, which may be different from the historical items.

The trailing twelve months / TTM run rate analysis has been prepared for illustrative purposes. There is no authoritative literature or common standard with respect to the calculation of 'run rate' EBITDA, and therefore there is no basis on which to state whether, in the illustrative analysis of 'run rate' EBITDA, all appropriate and comparable adjustments have been made. We have set out in our report the basis on which items have been included in or excluded from the run rate calculations for particular years. It is for you to satisfy yourselves as to whether the items included or excluded are appropriate for your purposes. The decision as to what items should be included in or excluded from the calculation of 'run rate' EBITDA is highly judgmental; you may choose to interpret the information presented differently.

The net debt analysis has been prepared to assist in considering those items which may be 'debt like'. There is no authoritative literature or common standard with respect to the identification of items which may form part of 'debt' or 'net debt', and the decision as to what items should be included or excluded is highly judgmental. Accordingly, there is no basis on which to state whether in the analysis of net debt, all appropriate and comparable items have been included, and that there are no items that might be judged by some to be inappropriate or that all appropriate adjustments have been made. We have set out in our report the basis on which items have been included, excluded, or adjusted in the net debt analysis. You may choose to analyze the information presented differently.

The prospective financial information set out within our report has been prepared by Target; we do not accept responsibility for such information. We must emphasize that the realization of the prospective financial information is dependent on the continuing validity of the assumptions on which it is based. The assumptions will need to be reviewed and revised to reflect any such changes in trading patterns, cost structures or the direction of the business as they emerge. We accept no responsibility for the realization of the prospective financial information. Actual results are likely to be different from those shown in the prospective financial information because events and circumstances frequently do not occur as expected, and the differences may be material.

6. Basis of preparation

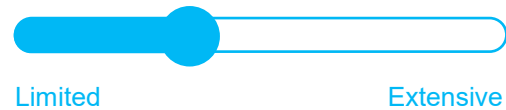
Scope of work



KPMG LLP ('KPMG') has been engaged by Themis Solutions Inc. ('Client') prepare a financial due diligence report in connection with the potential acquisition of Felix Spain Bidco, S.L. ('Target'). The report has been prepared in accordance with our engagement letter dated May 7, 2025.

Our work on historical trading comprises the period January 1, 2023 to March 31, 2025. Our scope of work has been focused on historical quality of earnings, including a run rate analysis with reference to March 31, 2025, as well as consideration of the balance sheet at December 31, 2023 and 2024 and March 31, 2025, and working capital for the period January 31, 2023 to March 31, 2025. Note that our work predominantly focused on considering the nature and reasonableness of the adjustments proposed by the seller and their diligence team at A&M, and identifying additional adjustments or alternative views based on the information made available. We did not perform any analysis of the drivers of underlying profitability, or conduct any other commercial analysis.

Access to management



During the course of our work our main points of contact have been the Management of Target, represented by Hugo Ruiz Taboada (Global CFO), and Vortex's financial advisors including J.P. Morgan ('JPM') and Alvarez & Marsal ('A&M').

Overall, we have had relatively limited access to Management – however, they have responded to our questions and requests through a virtual dataroom in a timely manner. We attended a meeting with Management on June 10, 2025, and exchanged various communications with Management and their advisors through email throughout the diligence process.

The contents of our report have not been reviewed by the Management of Target and the factual accuracy of this report has not been confirmed by the Management.

Quality of information



The requested information has been provided through the virtual data room. As of the date of this report, all available requested information has been provided in a timely manner.

Our work has relied on certain key sources of information including, but not limited to; (1) the sell side diligence databook (prepared by A&M), (2) Managements' customer cube (ARR), and (3) other various sources of revenue (e.g., deferred revenue waterfall, reoccurring revenue, late renewals, etc.).

As noted above regarding our scope of work, based on our scope, the access to Management, and the information provided, we focused on the nature and reasonableness of adjustments prepared by the seller. However, we have not performed confirmatory work at the depth of verification of GL / invoice evidence to support adjustments, or had visibility into corresponding balance sheet accounts at a granular level each period end.

In addition, Management provided a high level reconciliation of ARR and revenue as well as a more detailed reconciliation by customer for the latest month (Mar-25) – however, a more readily available and traceable reconciliation between a ARR and revenue is a potential area of improvement under your ownership.

7. Scope of work (1/3)

Area	Description	Status	Comment
Business understanding	a) Gain an understanding of the business, including: i. Legal and organizational structure; ii. Revenue streams; iii. Cost base, employee base and infrastructure; and iv. Key management team. b) Understand the business' accounting function, including: i. Key accounting practices, policies, procedures, and methodologies; ii. Internal financial controls; iii. Financial reporting.	✓	• Completed
Quality of revenue	a) Understand the business' revenue streams and related accounting policies and practice. To include understanding of: i. Cash / billing cycle; ii. Typical contract terms; iii. Timing of price increases; and iv. Calculation of deferred revenue. b) Understand what work has been performed to reconcile reported revenues, cash income, and ARR. c) Consider methodology used by the seller in presenting ARR and associated KPIs (upsell, downsell, churn, ARR per license / per logo, key account concentration) i. Identify key anomalies or items of concern relating to calculation methodology and / or resulting trends. d) Perform Phase 2 top up due diligence as requested by you (e.g. recalculation of ARR and KPIs using Clio methodology).	(✓)	• Partially completed/ongoing

7. Scope of work (2/3)

Area	Description	Status	Comment
Quality of earnings	a) Consider the quality of earnings analysis prepared by the sell side. Form a view on seller proposed adjustments, and consider whether other adjustments might be considered, including: i. Capitalized R&D and other internal costs; ii. Commissions and contract assets; iii. Accounting adjustments; iv. One-time items. v. Treatment of FX b) Perform an analysis of adjusted EBITDA compared to free cash flow and set out key considerations in relation to EBITDA to cash flow conversion. c) In support of the quality of earnings analysis, consider: i. Information made available by the seller including vendor due diligence materials, internal and external financial statements or MD&A material, board presentations, management Q&A, and other relevant information provided; ii. Monthly trending of income statement captions; iii. Balance sheet support provided by the seller; and iv. The results of the quality of revenue analysis. d) Consider items with a full year EBITDA impact, and quantify where possible, including: i. Latest ARR (including consideration of churned and booked-not-billed customers); and ii. Investment or changes in the cost base of the business. e) Perform other Phase 2 top up due diligence as requested by you (e.g. roll forward of quality of earnings analysis to a more recent date).	✓	• Completed

7. Scope of work (3/3)

Area	Description	Status	Comment
Net working capital	a) Consider the net working capital analysis provided by the seller, and consider a potential buy-side position. To consider: i. Historical working capital turnover KPIs (e.g. DSO, DPO, deferred revenue days); ii. Accounting for key working capital balances including deferred revenue, accounts receivable and accounts payable; iii. Completeness of historical accruals and payables; and iv. Monthly vs annual accounting for judgmental balances such as bonuses.	✓	• Completed
Locked box	a) Consider the locked box analysis provided by the seller, and consider a potential buy-side position. To consider: i. Adjustments to working capital balances based on quality of earnings and net working capital analysis performed (e.g. calculation of deferred revenue; recoverability of accounts receivable); ii. Amounts owed to / owed from shareholders; iii. Tax exposures identified by your tax due diligence team; and iv. Other debt and debt-like balances that could be included in the locked box.	(✓)	• Partially completed/ongoing

8. Glossary of terms and abbreviations

A&M	Alvarez & Marsal Holdings, LLC
AP	Accounts payable
AR	Accounts receivable
ARPA	Average revenue per user
ARR	Annual recurring revenue
CAGR	Compound annual growth rate
Capex	Capital expenditure
CFO	Chief financial officer
CGO	Chief growth officer
CIT Liability	Corporate income tax liability
CRO	Chief revenue officer
CSO	Chief strategy officer
DA	Data analytics
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earnings before interest, tax, depreciation and amortization
FX	Foreign exchange
FYXX	Fiscal year ended December 31, 2023 and 2024
GAAP	Generally accepted accounting principles

KPI	Key performance indicator
LATAM	Latin America
M&A	Mergers and acquisition
MD&A	Management discussion and analysis
Management	Management of the target - including Hugo Ruiz Taboada (CFO).
MRR	Monthly recurring revenue
NWC	Net working capital
P&L	Profit and loss
PPA	Purchase price adjustment
Q&A	Question and answer
QoE	Quality of earnings
R&D	Research and development
SaaS	Software as a Service
SPA	Sale and Purchase Agreement
TTM Mar-25	Trailing twelve months to March 31, 2025
VAT	Value-added tax
Vortex	Felix Spain Bidco, S.L.
WC	Working capital
YTD Mar-25	Year to date March 31, 2025



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